More Sample Exam Questions & Case Studies

Principles & Practices of Insurance (40)

1) _____ is an attempt by the insured to secure a lower rate from the underwriter by deliberately changing the description of his risk as lesser than it actually is.
   a) Misrepresentation.
   b) Warranty.
   c) Accommodation.
   d) Inherent vice.

2) Insurable interest is:
   a) Interest earned on certain types of life insurance.
   b) The monetary interest a person may have in a property.
   c) Interest an insurer earns on investments.
   d) Interest allowed by the courts in some claims awards.

3) Coverage is:
   a) The amount the insured paid the insurer.
   b) The term used for insurance protection.
   c) The amount the insurer paid the insured.
   d) Information given about the insured.

4) Insurance is based on the existence of:
   a) Risk.
   b) Loss.
   c) Hazards.
   d) Credit.

5) What is subrogation?
   a) Actual cash value.
   b) The sharing of the loss or liability between two or more insurers covering the same risk.
   c) The insurance of insurance companies.
   d) The legal process by which an insurer who has paid a loss pursues its right of recovery against a responsible third party.

6) What is the primary function of insurance?
   a) Determining rates and premiums.
   b) Theory of probability.
   c) Law of large numbers.
   d) Spreading the risk.

7) A peril is an event which causes a loss to occur. Which of the following is not a peril?
   a) Fire.
   b) Windstorm.
   c) Slippery stairs.
   d) Vandalism.

8) An assessment mutual collects funds:
   a) By charging a 50% higher premium to all policy holders.
   b) By having the members pay the full premium.
   c) By having the members pay a portion of the premium then sign a premium note to be drawn on if needed.
   d) By having the members pay an administration fee.

9) A valued contract is a policy:
   a) Under which, in the event of a loss, a specified amount will be paid.
   b) Which produces a very large premium.
   c) Which will always provide strict indemnity.
   d) Which will pay for the replacement of a lost or destroyed item.

10) Insurance does not apply to a loss that:
   a) Is accidental.
   b) May happen in the future.
   c) Is fortuitous (happened by accident).
   d) Is caused with intent.

11) Which of the following is correct?
   a) Moral hazard is easier to detect and correct than physical hazard.
   b) A hazard can cause a loss to be less severe.
   c) A peril is an event which may cause a loss to occur.
   d) An example of a physical hazard is obsolescence of plant and machinery.

12) Indemnity means:
    a) Sending a cheque for a loss.
    b) Paying the amount insured.
    c) Putting the insured in the same financial position he was in when the policy was originally taken out.
    d) Putting the insured in the same financial position he was in immediately prior to the loss.

13) Which of the following is not a responsibility of the broker?
    a) Report all claims to insurer promptly.
    b) Submit applications promptly.
    c) Act within the terms of the agreement with the insurer.
    d) Settle automobile claims.

14) Which of the following would not be considered as part of the broker's duties?
    a) Service and settle claims.
    b) Represent the client and client's interest.
    c) Represent the insurer.
    d) Deposit the premiums in a trust account and transfer the proceeds to the insurer at a later date.

15) An example of a Bailor is:
    a) A tailor shop.
    b) A Jeweler who takes in a watch for repair.
    c) The owner of the watch above.
    d) All of the above.

16) A Bailee is one who:
    a) Owns a certain amount of property.
    b) Posts bail to get someone out of jail.
    c) Has someone else's property in his possession for safekeeping or repairs.
    d) Stores his possessions with someone else for one reason or another.

17) Statutory conditions:
    a) Are conditions in an auto policy required by provincial law, which are designed to protect the rights of the insurer and the insured.
    b) Are required by the insurance company.
    c) Are not part of the OAP 1.
    d) Include terms relating to the cost of collision coverage.

18) Negligence must be established before payment will be made under:
    a) Liability for bodily injury.
    b) Medical payments and loss of income.
    c) Immediate medical aid.
    d) Hail damage to a vehicle.

19) The following is unique to insurance contracts:
    a) Utmost good faith.
    b) Insurable interest.
    c) Indemnity.
    d) All of the above.

20) “The losses of the few are shared by the many” best describes which of the following:
    a) Spread of risk.
    b) Risk retention.
    c) Speculative risk.
    d) Insurance.

21) In terms of insurance, a broker can only bind coverage:
    a) In writing.
    b) Verbally.
    c) That which exceeds binding authority.
    d) A & B.

22) Binding authority is the:
    a) Ability to commit an insurer to a contract of insurance.
    b) Authority to sign an application on behalf of a client.
    c) Right to submit applications for insurance to an insurer.
    d) Power to place an insurer on a risk with its oral consent.

23) Which of the following is not a “legal person” and cannot enter into a valid contract?
    a) Sophie’s Ski Shop.
    b) Larry’s Lumber Limited.
    c) Bette Bilmore Inc.
    d) Bette’s Body Shop Limited.

24) Brokers obtain their authority from:
   a) Their clients.
   b) The government.
   c) The local broker's association.
   d) Their agreements or contracts with the insurers they represent.

25) Indemnification is best described as:
   a) The provision of security.
   b) The application of the law of averages.
   c) Restitution of financial loss.
   d) The provision of no-fault insurance.

26) A void contract is a contract:
   a) That has been cancelled.
   b) That could be nullified if one party changes his or her mind.
   c) That never had any legal existence.
   d) That has not yet been fulfilled.

27) Your client, Mr. Bert Butler, owns a commercially zoned building of which he is partners with Mr. Wen, A. Brog, and Ms. Grey. Together the owners purchased the building for $100,000. Mr. Butler owns 55% of the building and Ms. Grey owns the remainder. In the event of a total loss to the structure how much would each party receive?
   a) $33,333 because the amount is split evenly amongst the owners as they all has an insurable interest in the unit.
   b) Mr. Butler would be the only party to receive payment and he would be responsible to pay the other parties who have an insurable interest.
   c) Regardless of the loss amount each party would be eligible to receive the portion of which they hold an insurable interest.
   d) Mr. Butler, Ms. Grey and Mr. Brog would each agree on an amount and settle the issue privately.

28) The insured's dining room furniture was badly damaged when a fire broke out. The claim was settled by paying an amount equal to the replacement cost minus physical depreciation. This illustrates the application of:
   a) Extended coverage.
   b) Actual cash value.
   c) Replacement cost.
   d) Optional Loss Settlement Clause.

29) Replacement Cost provides that:
   a) Damaged property is replaced without the application of co-insurance.
   b) Damaged property is replaced subject to depreciation.
   c) No depreciation is applied to the settlement of a loss.
   d) Damaged property is repaired or replaced with property of the same kind and quality at its original cost.

30) A Fire Policy states it will pay the lesser of three amounts in case of a claim. Which of the following does not enter in this calculation?
   a) The actual cash value of the property.
   b) The original cost of the property.
   c) The insured's interest in the property.
   d) The policy limit.

31) Which of the following does not enter into the calculation of the amount an insurer will pay for a loss?
   a) The actual cash value of the property.
   b) The amount of the mortgage.
   c) The insured's interest in the property.
   d) The amount of applicable insurance.

32) A peril is:
   a) The fear something will happen.
   b) An event that causes a loss to occur.
   c) (a) & (b).
   d) Always insured.

33) You are concerned because your client has informed you that there is no handrail on a long stair case up to his home and this leaves potential for a bodily injury liability claim. You advise your client that this is a:
   a) Speculative risk.
   b) Moral hazard.
   c) Pure risk.
   d) Physical hazard.

34) The term replacement cost means:
   a) The cost at the time the item was originally purchased.
   b) The cost to replace the item at the time of the loss.
   c) The cost to replace the item at the time of the loss less depreciation.
   d) The cost to buy a higher end and better quality item.

35) A material fact is one which:
   a) Increases the deductible on a risk.
   b) Increases the possibility of a loss.
   c) Is a fact the insurer should know without being told.
   d) Could influence an underwriter in either accepting or rejecting a risk.

36) Insurance coverage is effective:
   a) 12:01 a.m. standard time at the address of the insured.
   b) 12:01 p.m. standard time at the place where the policy was issued.
   c) 12:01 p.m. local time at the address of the insured
   d) 12:00 a.m. standard time at the address of the insured.

37) One factor which determines if a contract is enforceable at law is:
   a) Whether or not it is in writing.
   b) Whether or not it is made orally.
   c) The value of the contract.
   d) The legal capacity of the contracting parties.

38) In a contract, consideration is:
   a) The insurable interest.
   b) The price.
   c) The signature of the one accepting the contract.
   d) The clause of the contract specifying the amount of insurance provided.

39) Utmost good faith:
   a) Implies a high standard of honesty.
   b) Is a requirement of all legal contracts.
   c) Is a mystical faith in the goodness of people.
   d) Can void an insurance policy.

40) Referring to subrogation, which of the following is correct?
   a) Subrogation vests in the insured on payment of the insured's claim.
   b) Subrogation cannot be instituted if someone else's negligence caused the insured's damages.
   c) Subrogation does not apply to contracts of indemnity.
   d) Subrogation is a legal principle that upholds the principle of indemnity.

RIBO Rules & Regulations (23)

1) When an insurer cancels your client's insurance policy they must:
   a) Comply with RIB Act.
   b) Send back the insured's premium by priority post.
   c) Comply with the statutory conditions of the policy.
   d) Give back the short rate premium.

2) Rules or agreements concerning the binding of insurance coverage by brokers are:
   a) Laid out in Ontario's Insurance Act.
   b) Set by RIBO and are uniform and apply to every insurance company and brokerage office.
   c) Set an agreed upon between each insurance company and brokerage office.
   d) Enforced by the Department of Insurance.

3) Which of the following statements is incorrect?
   a) In terms of a broker's integrity, a member shall discharge his/her duties to his/her clients, members of the public, fellow members, and insurers with integrity.
   b) With regard to competence, your duty to the client is to give competent guidance based on sufficient knowledge of the specific risks entailed.
   c) With regard to the advising of clients, a member shall be both candid and honest when providing advice.
   d) Confidentiality means that under no circumstances are you permitted to divulge information to anyone other than your client.

4) The "Acting Under Supervision" restriction on the registration certificate of a new broker means:
   a) That after an automatic and prescribed period of time he/she may have this restriction removed.
   b) He/she may apply to have the supervision restriction removed as soon as enough money has been saved to open his or her own brokerage office.
   c) The broker is restricted to working as an employee of and under the supervision of an already existing broker whose registration does not carry this restriction.
   d) None of the above.

5) In Ontario, the RIB Act requires that premiums be deposited in a special trust account in an approved bank. In how many days is the broker required to put premiums collected from clients into the trust account?
   a) 21 days.
   b) 7 days.
   c) 30 days.
   d) 3 days.

6) How many days of notice must you provide to RIBO when there is change of information such as name or employer?
   a) 21 days.
   b) 15 days.
   c) 10 days.
   d) 7 days.

7) In an insurance brokerage the principal broker is one who:
   a) Is responsible to RIBO for the actions of his employees who hold broker licenses.
   b) Is responsible for submitting position reports to RIBO.
   c) Is required to have 10 hours of continuing education per year.
   d) All of the above.

8) What is correct in regards to this statement: "No person shall act as an insurance broker unless the person is a registered insurance broker under the Insurance Act."
   a) That section has been repealed.
   b) A person who is solely engaged in the performance of clerical or administrative duties in the office of his employer is not deemed to be a broker and as such does not require a broker's license.
   c) That person is the designated individual.
   d) People employed with the company before the RIBO Act was enacted.

9) The RIB Act defines an insurance broker as one:
   a) Who for compensation, commission or other thing of value places the insurance of the public with insurance companies that have given them authorization to do so.
   b) Who only sells life insurance.
   c) Sells insurance and real estate.
   d) None of the above.

10) When a new broker is issued a registration certificate restricted to "Acting Under Supervision," he or she may:
   a) Be the designated individual responsible to RIBO for insurance matters in the brokerage office.
   b) Deal directly with the public with regard to soliciting, negotiating, procuring or the making of any contract of insurance on behalf of the insurer.
   c) Establish and set up an insurance brokerage office, providing arrangements are made.
   d) Set up and arrange a trust account.

11) When information in the broker's latest filed application with RIBO becomes obsolete, the broker must:
    a) Report any changes to RIBO at the year-end.
    b) When moving to a new brokerage employer, ask the new firm to advise RIBO of this change in employer and let the office handle it.
    c) File a notice of change with RIBO correcting or updating the information within ten days after the change takes place.
    d) Telephone RIBO for advice as to what should be done.

12) In Ontario, an insurance agent is an individual who:
    a) For compensation, solicits, negotiates, or procures a contract of insurance on behalf of more than one insurer.
    b) Provides risk management services or consulting services or claims assistance to the public.
    c) Solicits insurance solely on behalf of one insurer or affiliated group of insurers and the Facility Association, who is licensed as an agent under the Insurance Act.
    d) Only sells life insurance.

13) When a broker places business with an unlicensed insurer:
    a) The Superintendent of Insurance has no authority over an unlicensed insurers claims and payouts may be more difficult.
    b) It may only be done as a last resort when no Ontario licensed insurer agree to take on the risk.
    c) The client must be advised in writing that the only markets available are with unlicensed insurers, provide written consent that he is agreeable to placing coverage with an unlicensed insurer, and that he is aware of the risks.
    d) All of the above.

14) Which of the following statements is incorrect?
    a) Every member who is a sole proprietorship, partnership or corporation shall maintain and continue to maintain errors and omissions insurance in an amount of at least $3,000,000 in respect of any one occurrence.
    b) The Insurance Act defines a broker as someone who solicits insurance on behalf of one insurer or affiliated group of insurers who have appointed him/her to act as their representative.
    c) A member's conduct towards other members, members of the public, insurers and the corporation shall be characterized by courtesy and good faith.
    d) A member shall observe all relevant rules and laws regarding the preservation and safekeeping of property of the client entrusted to the member and, when there are no such rules or laws or the member is in doubt, the member must take the same care of such property as a careful and prudent person would take of the person's own property of like description.

15) Which of the following is incorrect? An Insurance broker:
   a) May act or aid in any manner in soliciting, negotiating, or procuring the making of any contract of insurance or reinsurance whether or not the person has agreements with insurers allowing the person to bind coverage and countersign insurance documents on behalf of insurers.
   b) May not provide risk management services or claims assistance where required.
   c) May provides consulting or advisory services with respect to insurance or reinsurance.
   d) May hold himself, herself, or itself out as an insurance consultant or examines, appraises, reviews or evaluates any insurance policy, plan or program or makes recommendations or gives advice with regard to any of the above.

16) Which of the following is correct?
   a) Insurance broker means any person who, for compensation, commission, or other thing of value, with respect to persons or property in Ontario, deals directly with the public.
   b) Insurance broker means any person who for compensation, commission or other thing of value sells insurance for one company or affiliated group of companies.
   c) An insurance agent sells insurance for more than one insurer.
   d) Insurance brokers get their authority to sell insurance from the Superintendent of Insurance, who represents the Financial Services Regulatory Authority of Ontario.

17) An individual is qualified to be issued and hold a certificate of registration as a broker where:
   a) They have not attained the age of majority.
   b) They are of good character and has demonstrated reasonable grounds for belief that he or she will carry on business in accordance with law, integrity, and honesty.
   c) They have been convicted of any offence the nature of which renders him or her unfit to act as a broker.
   d) They have not satisfied the educational and experience requirements established by the Qualification and Registration Committee.

18) A member qualifies to be designated as a principal broker if the member:
   a) Is in default of paying any fee due under the Act or the by-laws of the Corporation.
   b) Is the subject of an outstanding order of the Discipline Committee.
   c) Is in a class of membership which restricts him or her to acting under supervision.
   d) Directs and supervises the sole proprietorship, partnership, or corporation in acting as an insurance broker and has the authority to act in its name and on its behalf regarding applications or reports required under this Act or the by-laws of the Corporation.

19) Every member acting on behalf of a member of the public in negotiating or placing contracts of insurance with one or more insurers shall provide a policy or a certificate of coverage to the member of the public for whom the member acts within twenty-one days after the placing of insurance certifying that the insurance has been placed, and at the same time shall send a copy of the policy or certificate of coverage to each of the insurers whose names appear on the policy or certificate. The certificate of coverage shall set out:
    a) The name and mailing address of the insurer.
    b) A description of the coverage provided.
    c) The full name of each insurer, or other person authorized to undertake the contract.
    d) All of the above.

20) A member shall not act or assist in the placing of insurance with an unlicensed insurer unless:
    a) The member has informed the member of the public for whom the member acts of the following risks of entering into a contract of insurance with an insurer not licensed under the Insurance Act.
    b) That the insurer is not subject to regulation under the Insurance Act.
    c) Orderly payment of claims may be more difficult than with an insurer licensed under the Insurance Act.
    d) All of the above

21) Where a member proposes to charge a fee for service in addition to retaining a portion of the premium charge, the member, before placing the insurance or providing a service for which a fee is to be charged, shall disclose to the person whom the member proposes to charge:
    a) The amount of the fee and the portion of the premium retained.
    b) The total remuneration on the transaction.
    c) Interest charges with respect to overdue accounts or accounts paid on an instalment plan shall not be construed to be fees for services for the purposes of subsection.
    d) All of the above.

22) All members shall act as insurance brokers in accordance with the code of conduct. Which of the following is not part of that code?
    a) A member shall discharge the member's duties to clients, members of the public, fellow members, and insurers with integrity.
    b) A member owes a duty to the member's client to be competent to perform the services which the member undertakes on the client's behalf.
    c) A member shall hold in strict confidence all information acquired in the course of the professional relationship concerning the business and affairs of the member's client, and the member shall not divulge any such information unless authorized by the client to do so, required by law to do so, or required to do so in conducting negotiations with underwriters or insurers on behalf of the client.

d) A member who engages in another business or occupation concurrently with the practice of the member's vocation shall allow such outside interest to jeopardize the member's integrity, independence, or competence.

23) Rebating is:

a) The making of any payment, allowance or gift, or any offer to pay, allow or give, directly or indirectly, any money or thing of value as an inducement to any prospective insured to insure.

b) Directly or indirectly making or attempting to make an agreement as to the premium to be paid for a policy other than as set forth in the policy, or paying, allowing or giving, or offering or agreeing to pay, allow or give, a rebate of the whole or part of the premium stipulated by the policy or any other consideration or thing of value intended to be in the nature of a rebate of premium to any person insured or applying for insurance in respect of person or property in Ontario.

c) Coercing or proposing, directly or indirectly, to coerce a prospective buyer of insurance through the influence of a professional or business relationship or otherwise to give a preference that would not otherwise be given on the effecting of an insurance contract or coercing, inducing, or exercising undue influence in order to control, direct or secure insurance business.

d) Holding oneself out or advertising by means of advertisements, cards, circulars, letterheads, signs, or other methods, or carrying on business in any other manner than the name in which the individual or the corporation or partnership of which the individual is the designated representative is registered.

Travel Health Insurance (41)

1) A change in prescribed medication:
   a) Does not affect coverage.
   b) Is deemed to be a change in stability and medical claims as a result of that condition will be treated as an unstable, pre-existing condition.
   c) Effects coverage only if new medication is prescribed.
   d) Does not disturb coverage if the change means certain medications have been discontinued.

2) Anyone who obtains emergency medical treatment or is hospitalized outside of Canada while covered by Travel Health Insurance must:
   a) Within a specified number of days submit proof of claim to the insurer.
   b) Pay all expenses and wait for reimbursement.
   c) Report the claim immediately to OHIP before they contact their insurer.
   d) Request that the doctor at the out of country location submit their account to OHIP on the insured's behalf.

3) Your client is driving from Ontario to Florida for vacation. Would you advise your client to purchase Travel Health Insurance?
   a) No, if he is in an accident his car insurance will pay.
   b) Yes, OHIP will not cover out of province ambulance, semi-private or private rooms, return of vehicle, return of body, cremation, or burial at place of death.
   c) You can't buy Travel Health Insurance for out of province travel.
   d) None of the above.

4) It is necessary for visitors to Canada to take out Travel Health Insurance:
   a) Only if they plan to be covered for childbirth in Canada.
   b) Only if they have a pre-existing medical condition that is unstable.
   c) Because medical coverage is costly in Canada and the visitor is not covered by GHIP.
   d) Because their luggage may get lost on the way to Canada.

5) Which of the following does not make up part of the definition of an "unstable" medical condition?
   a) A new symptom develops for a condition, or existing symptoms become worse.
   b) It is a new condition that develops after the insured has departed on the trip.
   c) A physician prescribes or recommends a change in how often medication is taken.
   d) It requires admission to a hospital.

6) Underwriting of a Travel Health Insurance policy becomes part of the claims settlement with many travel providers. Which of the following would become part of the claims investigation to determine if the policy would provide coverage for a pre-existing medical condition?
   a) Was the condition stable?
   b) Was the insured on medication?
   c) Was there any change in dosage or usage of the medication?
   d) All of the above.

7) A pre-existing medical condition is defined as:
   a) A condition the applicant was born with.
   b) A medical condition which existed prior to the effective or departure date.
   c) A medical condition which is stable and for which any change in medication was a decrease.
   d) A condition that affects only the cardiac and respiratory systems.

8) A client calls in for Travel Health Insurance. He has a heart condition. What section of the policy would you want to check very carefully with him?
   a) The premium.
   b) The terrorism exclusion.
   c) The pre-existing conditions exclusion.
   d) Trip cancellation coverage.

9) The following is an example of a “common carrier”.
   a) Your friend driving you to the airport.
   b) Driving yourself to Arizona.
   c) The Air Canada Flight you have booked to fly to Italy.
   d) None of the above.

10) The effective date is deemed to be:
   a) For a Top-Up/Extension the date immediately following the termination date of the applicants existing Travel Health Insurance coverage.
   b) For a Single Trip Daily Plan, the date travel begins as set out as the effective date of the policy provided the application has been received and the premium has been paid.
   c) For a Frequent Traveler Plan, the date on the insured’s confirmation letter when the application and required premium are received by the company or its representative.
   d) All of the above.

11) Travel Health Insurance defines “travel companion” as:
    a) One who you met at dinner and who has the room across the hall from you.
    b) Any person, up to three other persons who are sharing accommodation and/or transportation with the insured.
    c) A stranger who sat beside you during your train trip through Europe.
    d) None of the above.

12) Who would fall within the definition of a “snowbird?”
    a) Anyone from Canada vacationing in Florida.
    b) Anyone over 55 who spends more than 31 nights outside of Canada.
    c) Visitors to Canada who visit in the winter.
    d) None of the above.

13) What are insurers doing to try to help reduce the cost of Travel Health Insurance?

    a) They are offering polices with a choice of exclusions.
    b) They are offering deductibles ranging from $100 to $25,000.
    c) Nothing, they have in fact hiked the premiums up.
    d) They are rating the safety of your travel destination.

14) My husband and I are on vacation in Myrtle Beach, South Carolina with our two year old daughter. I sustain “sun poisoning” and have to be hospitalized for most of the week. My husband and daughter continue to stay at the hotel. One day, my husband hires someone to care for our daughter while takes a break and goes golfing. Can he have this covered by our Travel Health Insurance plan?
    a) Yes, it is covered under the Child Care Attendant coverage.
    b) No, my husband has not suffered any sickness or injury and is physically fit to look after our daughter. The policy would pay if I was traveling alone and was hospitalized and had to hire someone to care for my daughter, or if both my husband and I were hospitalized.
    c) No, it would only be covered if my husband had been hospitalized.
    d) There is no coverage at all afforded by the travel policy for Child Care Attendant.

15) I have booked a flight to Las Vegas, made a reservation at a fancy hotel, and paid $250 for a concert ticket. I have purchased both Trip-Cancellation and Trip-Interruption. What will not be covered?
    a) If the artist gets ill and cancels the show once I am in Vegas, I will be reimbursed the cost of the show ticket.
    b) If I fall prior to the trip and am hospitalized and unable to travel, I will be reimbursed the cost of the flight, the cost of the show, and any hotel charges I may be assessed.
    c) If I get food poisoning in Vegas and fly home the day before the concert, I will be reimbursed only the non-refundable portion of my prepaid accommodation and for the extra cost to change the return ticket to a one-way economy fare.
    d) (b) & (c)

16) I am on vacation in Hawaii. I am six months pregnant. One evening after a busy day of sightseeing, I complain of headaches and was hospitalized. My health rapidly declines. To save both me and the baby, a doctor performs an emergency C-section. I am hospitalized for weeks, and my premature son survives for three days before passing away. What, if anything, would be covered?
    a) Medical expenses for us both.
    b) The cost to keep my husband there after our scheduled departure date.
    c) The cost to have my son cremated and his ashes put in an urn so he could be brought home for burial.
    d) None of the above.

17) Bill is a newspaper photographer on assignment in a foreign country where there is a war. He is in a vehicle that drives over a land mine. He is badly injured and has to be flown to Germany for medical aid. Will his travel insurance policy cover him?
    a) Yes, driving over a land mine would be covered.
    b) No, his injury is a result of war. War is an exclusion.
    c) There is never any coverage in a foreign country.
    d) None of the above.

18) My husband is a licensed pilot who works for a major airline. The airport allows him to use a small two-seater commercial aircraft to fly us to Florida. Upon landing, the plane's landing gear fails, and we crash. Both my husband and I are badly injured. Will we be covered by my Travel Health Insurance policy?
    a) Yes, it is not excluded.
    b) No, it is excluded.
    c) Yes, if the emergency assistance hotline is called when we are hospitalized.
    d) You will be covered. But, your husband, the pilot, will not be covered under your policy as he would be covered under a commercial airline policy

19) Can the coverage term of a Travel Health Insurance policy be extended?
    a) No, under no condition may coverage be extended.
    b) Yes, a policy may be extended while the insured is out of the country upon the insured's request provided there has not been a change in medical condition and the insurer allows it.
    c) The policy provides for an automatic extension of up to 72 hours at no extra premium if extreme weather causes delay of departure.
    d) (b) & (c).

20) Your client was on vacation in San Francisco. He stayed in an elegant Edwardian Hotel. One evening, on the way to his room on the fourth floor, the elevator cable snapped, and the elevator fell to the basement. He was severely hurt and required several weeks in a local hospital before returning home. The travel insurer paid out more than $150,000. Do they have recourse to go after the hotel?
    a) No, they do not.
    b) Yes, they have the right to subrogate against the hotel as they were negligent in elevator maintenance.
    c) Yes, but only because the hotel was over 100 years old.
    d) None of the above.

21) Why is it important to get an insured's date of birth on the Travel Health Insurance policy?
    a) Determines the rates to be used.
    b) Often times the age determines the stability time for a pre-existing medical conditions.
    c) The Visitors to Canada Insurance policy covers only from 15 days of age to 86 years of age.
    d) All of the above.

22) Your client, originally an Ontario resident, has lived and worked in Florida for the past twenty-five years. She is returning to Ontario to retire and plans to maintain her principle residence here at a converted cottage on an island. What coverage would you sell her?
    a) An Expatriate Insurance policy.
    b) A Frequent Traveler Plan.
    c) A Visitors to Canada Insurance policy to cover until she is meets the OHIP residency requirements.
    d) You can't sell her a policy, she must have GHIP in order to be able to buy Travel Health Insurance.

23) Why should visitors to Canada purchase Travel Health Insurance?
    a) Visitors to Canada are not covered by GHIP.
    b) Medical costs to people not covered by GHIP can be very costly.
    c) New immigrants to Canada have a waiting period for GHIP to start.
    d) All of the above.

24) Which of the following would not be covered under Emergency Medical coverage?
    a) Physician charges in or out of hospital.
    b) Cosmetic surgery the insured travelled to Mexico to obtain.
    c) Tests ordered by a European doctor to diagnose or find out more about the condition.
    d) Rental or purchase of crutches after falling on a narrow sidewalk in Italy.

25) Your insured has flown into Nova Scotia on Saturday morning to attend a friend's wedding later that afternoon. Her baggage does not arrive with her, and she has to rush to purchase makeup, an outfit, and shoes to wear to the wedding. Her purchases came to $450. Her baggage arrived the next day on the flight she was returning back to Ontario on. What section of the travel policy will provide coverage?
   a) Trip Interruption.
   b) Flight Accident.
   c) Baggage.
   d) There is no coverage for this type of loss.

26) Your client calls and informs you that his job's head office has been relocated to Chicago, Illinois. He is required to attend meetings in-person once a week. What type of plan would you recommend for him?
   a) Expatriate Insurance.
   b) Snowbird coverage.
   c) Frequent Traveler Plan.
   d) Visitors to Canada Insurance.

27) Can a Travel Health Insurance policy be cancelled, and a refund obtained?
   a) Yes, if the insured returns home before the scheduled return date and has not had a claim.
   b) No, cancellation of a Travel Health Insurance policy is not possible.
   c) Yes, if the insured wants to cancel because they are unable to travel for medical reasons.
   d) (a) & (c).

28) Your client's son is traveling to Arizona to go rock climbing for spring break. What section of the policy should you check very carefully before selling a policy?
   a) The premium, students have to watch their money.
   b) The sporting exclusion to see if rock climbing is one of the activities excluded.
   c) The pre-existing conditions exclusion.
   d) None of the above.

29) Which is not an exclusion under the Emergency Medical section?
   a) Any medical conditions if the information on the application is accurate or untrue.
   b) Any treatment that is not for a medical emergency.
   c) Any medical emergencies which occur in Florida, due to the high cost of medical care there.
   d) An act of war of terrorism.

30) Jack is booked on a 10-day Caribbean cruise, sailing out of Tortuga. Upon landing, he is told the creditors of the cruise line have put a hold on further funding and the ship will not be able to sail. He is stranded there. He chooses to stay for the 10 days at a resort, at an additional cost to him of $3,000. Is the cost of the lost cruise covered by Trip Cancellation?
   a) Yes, that is what Trip Cancellation is for.
   b) No, financial failure of the travel provided is excluded under this policy.
   c) There is special coverage that may be purchased to cover this kind of loss.
   d) None of the above.

31) William has purchased a cruise package for him and his wife to celebrate their 10th anniversary. The cruise is booked seven months in advance. A few weeks after booking, it is determined that his wife is pregnant, and the baby is due a month after the cruise. Trip Cancellation coverage:
   a) Excludes anything to do with pregnancy.
   b) Is not required; they can still take the cruise.
   c) The policy will reimburse the insured for any money lost for cancellation of the trip if the insured or spouse becomes pregnant after the trip is booked and the departure date falls in the eight weeks before the expected delivery date.
   d) Will only pay for 50% of the money they lost for cancelling the cruise because cancellation was a result of a pregnancy.

32) Hector purchased a travel health insurance plan for a Mediterranean cruise. After landing, the shuttle was in an accident on the way to the ship port. Hector missed the departure of the ship and had to pay for another flight to the next port. What coverage, if any, will cover the additional costs?
   a) It is not covered.
   b) Emergency Medical coverage will pay for cost of the flight to the next port since it was the result of a bus accident.
   c) Trip Interruption coverage will pay the additional cost of the flight to catch up with the cruise ship after the bus accident interrupted Hector's original vacation plans.
   d) That kind of loss is covered under Baggage and coverage.

33) An insured is travelling to be at the bedside of his dying brother. The day before departure, the brother dies. The insured cancels his trip as the burial will be in the town where he lives. Is this type of loss covered under Trip Cancellation?
   a) No, it is excluded from the coverage.
   b) Yes, it is covered.
   c) It is covered under certain conditions specified in the policy.
   d) It is covered under Emergency Medical coverage.

34) Which of the following is not a common exclusion to the Visitors to Canada Insurance policy?
   a) Any sickness occurring within the first 48 hours of the policy effective date.
   b) Any medical conditions having to do with pregnancy.
   c) Any losses resulting from terrorism.
   d) Return of body back to homeland.

35) Your insured's two pieces of luggage went missing on a trip to Australia. Upon landing in Sydney, his baggage, including his golf clubs, were never found. He put in a claim to the airline for $900 worth of belongings in his suitcase and $1,500 for his golf clubs. The airline reimbursed a maximum of $500. The client also has a Comprehensive Tenant Policy. Will the baggage coverage on this Travel Health Insurance policy pay the remaining balance?
   a) Yes, that is what baggage coverage is for.
   b) Baggage coverage is an excess coverage that will pay after all other available insurance policies has been depleted. Since the client has a Tenant Policy, it would be primary. But he would be able to submit a claim for any amount not covered under his Tenant Policy.
   c) No, there is no coverage for mysterious disappearance under the baggage coverage.
   d) No, since he was able to collect from the airline, this policy will not respond.

36) While on the tarmac of the airport waiting for luggage to be unloaded, an insured walks into the path of an aircraft and loses his arm to the propeller. Is this type of accident covered under Flight Accident coverage?
   a) Yes, as it happened while at an airport to which the arrival had been covered.
   b) No, Flight Accident only covers if the plane crashes.
   c) Emergency Medical will cover this but not Flight Accident.
   d) None of the above.

37) Expatriates, former residents of Ontario who are travelling, living, or working out of the country for extended periods of time need Expatriate Insurance to:
   a) Replace OHIP as primary health insurance coverage because they have been out of the country longer than OHIP allows, and such coverage has ceased.
   b) Repatriate or pay for local burial if the insured dies while out of country.
   c) Provide for Medical Evacuation is they become ill and must return home for treatment.
   d) All of the above.

38) It is common policy for Travel health Insurance providers to include in the wording a warning that Emergency Medical claims must be reported within a specified time of hospitalization or treatment. Failure to report without reasonable cause will result in:
   a) No coverage.
   b) The insured becomes responsible for a certain portion of the loss himself.
   c) The policy will cover everything except Emergency Medical coverage.
   d) None of the above.

39) Which of the following must be submitted to the Travel Health Insurance provider with the claims forms for Emergency Medical coverage?
   a) Original itemized billings and receipts for all expenses.
   b) Copy of OHIP card.
   c) Medical forms completed by out of country physician.
   d) All of the above.

40) The primary purpose of the hot line number is:
   a) To have the Claims Administrator notify relatives.
   b) To provide immediate management of required services.
   c) To provide consultation with insured doctors.
   d) To notify the insurance company of an impending claim.

41) Your client is a student who is going to Daytona Beach for a week and plans to go scuba diving. You should look for coverage with:
   a) No sports restrictions.
   b) No pre-existing conditions exclusion.
   c) No limitation and exclusions.
   d) No maximum age limit.

Automobile Insurance (126)

BINDER (39)

1) The “Threshold”:
   a) Is a definition of the conditions under which an injured party can sue another motorist for pain and suffering in Ontario.
   b) Is the maximum amount which an injured person may claim from the motorist responsible for their injury.
   c) Has nothing to do with settlement of an automobile insurance claim.
   d) Applies to automobile insurance in all provinces and territories.

2) An Ontario motorist injured in an automobile accident with another Ontario motorist, may sue that motorist in which of the following situations?
   a) When their injuries fall within the definitions of "Threshold”.
   b) For pain and suffering without limitations.
   c) For vehicular damage.
   d) For damage to contents of the vehicle.

3) With respect to Ontario automobile insurance what is "Threshold"?
   a) Defines the types of injuries suffered in an automobile accident, for which lawsuits are permitted for non-economic loss (pain and suffering).
   b) It defines the financial responsibility of the insurance company.
   c) It is the maximum amount of insurance a driver may purchase.
   d) It is a no-fault benefit.

4) Which of the following is true as it relates to automobile insurance in Ontario?
   a) Mandatory coverage required in Ontario is: Liability, Accident Benefits, Uninsured Automobile Coverage and Direct Compensation Property Damage.
   b) The OAP 1 covers you anywhere in the world.
   c) Ontario and Quebec have government automobile insurance.
   d) Automobile insurance is compulsory so it may not be cancelled.

5) The OAP 1 policy limit required to satisfy Ontario's Financial Responsibility Law is:
   a) $10,000.
   b) $50,000.
   c) $75,000.
   d) $200,000.

6) Minimum Liability limits:
   a) Are compulsory in some provinces.
   b) Are not compulsory because it is difficult to enforce this rule.
   c) Of $1,000,000 is required in all provinces and territories.
   d) Are compulsory in all provinces and territories of Canada.

7) Which of the following is not an objective of no-fault insurance?
   a) Allowing claimants to recover their not-at-fault vehicular damages from their own insurer.
   b) Reducing subrogation and litigation costs.
   c) Increasing the cost of legal fees and court costs.
   d) Prohibiting liability lawsuits unless certain "Threshold" criteria are met.

8) The basic concept of no-fault insurance is:
   a) To provide compensation for bodily injury without regard to fault.
   b) To provide compensation for property damage without regard to fault.
   c) To provide greatly increased no-fault Accident Benefits.
   d) To increase the length and cost of litigation before any claims are paid.

9) Who controls automobile policy forms and endorsements?
   a) Insurers.
   b) Provincial governments.
   c) Brokers.
   d) Federal Insurance Department.

10) Your client asks you to suspend all coverage from his only vehicle because he is going south for five months during the winter. As a careful broker you would:
   a) Suggest he suspend coverage using the approved OPCF16: Suspension of Coverage which maintains the portable coverage.
   b) Cancel his policy.
   c) Have Collision and Comprehensive coverage deleted from his policy and leave the rest of the coverage intact.
   d) Advise him to leave all coverage on.

11) Which one of the following statements about motorized recreational vehicles insured under automobile policies is true?
    a) A motorized recreational vehicle insured under an automobile policy needs an endorsement to waive the statutory condition requirement relating to qualification and age of operators.
    b) A motorized recreational vehicle insured under an automobile policy can only be used on public highways.
    c) All-terrain vehicles (ATV's) cannot be insured under an automobile policy.
    d) A Sea-Doo is considered a motorized recreational vehicle and can be completely covered under an automobile policy.

12) An OAP 4: Garage Automobile Policy does not cover which of the following?
    a) Damage to customer's automobiles.
    b) Liability arising out of the use of a non-owned automobile.
    c) Collision damage to a non-owned automobiles.
    d) Injuries to a customer who slips into an oil pit.

13) OPCF 44R: Family Protection Coverage will:
    a) Pay for injuries to the insured's passengers who do not have sufficient insurance.
    b) Protect the insured and any eligible claimants in the automobile from another party whose automobile liability insurance is insufficient to cover their claims for damages.
    c) Protect the insured in another jurisdiction where the insured's limits are insufficient to meet the jurisdiction’s requirements.
    d) Pay for injuries suffered by the insured or his passengers as well as other property in the vehicle at the time of the accident.

14) The main purpose of OPCF 44R: Family Protection Coverage is to provide coverage:
    a) For all passengers of the insured automobile.
    b) When the insured and his/her spouse are occupants of a non-owned automobile.
    c) For an insured person and his/her dependent family when a third party is at fault but is uninsured or inadequately insured to cover the insured's claims.
    d) To cover any family member who may be injured while walking or riding a bicycle.

15) Under an OAP 2: Ontario Driver's Policy:
    a) The insured must be a corporation.
    b) Would allow the insured to drive a vehicle on which he is excluded. His Driver's Policy becoming the primary policy on the vehicle he is excluded to drive on.
    c) The insured must be over 25 years of age.
    d) There is no such thing as a Driver's Policy.

16) An OPCF 27: Legal Liability for Damage to Non-Owned Vehicle was added to your client's OAP 1. In which situations would the endorsement respond?
   a) All Perils coverage on a newly acquired vehicle the insured just purchased.
   b) Physical damage to a rental vehicle while the insured was on vacation.
   c) Liability coverage for any other non-owned vehicles the insured drives.
   d) To cover a rental vehicle the insured had to rent while his vehicle was in the garage for repairs.

17) The Coverage for Transportation Replacement (OPCF 20) provides coverage for which of the following?
   a) It will pay 80% of all expenses incurred for the rental of a substitute vehicle.
   b) All expenses incurred for the rental of a substitute automobile due to loss or damage to the insured's automobile no matter how it was caused.
   c) It provides a replacement automobile for a maximum of five days.
   d) Reasonable expenses incurred for rental of a substitute automobile or alternative transportation including taxicabs or public transportation.

18) OPCF 23A: Lienholder Protection guarantees:
   a) If a claim results in a cash settlement, the money will be paid out jointly to the insured and lienholder.
   b) That if any coverage under Section 7 is cancelled, the lienholder will be advised 15 days prior to cancellation of coverage.
   c) That the obligation to notify the lienholder of cancellation of coverage expires on the expiry date of the endorsement.
   d) All of the above.

19) When a vehicle is being used to carry passengers for a fee, insurance would:
   a) Apply only if an additional endorsement, OPCF 6A: Permission to Carry Paying Passengers, is applied for an additional premium.
   b) Never cover it.
   c) Always cover it.
   d) Only cover damage to the vehicle.

20) The insured has an OAP 1 with All Perils physical damage coverage on his Jeep. In which of the following instances would he require a special OPCF to provide coverage?
   a) The insured drives a courtesy vehicle from the dealership while his car is in the shop for repairs.
   b) The Jeep is loaned to his brother who is moving.
   c) The Jeep is used to carry explosives to a construction site.
   d) The insured is taking" road coverage" off his new Jeep for the winter. He'll drive his other vehicle during the winter.

21) Your insured has an all-terrain vehicle to insure. What special endorsement needs to be added to the policy to properly cover this?
   a) OPCF 16: Suspension of Coverage.
   b) OPCF 32: Use of Recreational Vehicles by Unlicensed Operators.
   c) OPCF 20: Coverage for Transportation Replacement.
   d) SPF 6: Standard Non-Owned Automobile Policy.

22) Which one of the following statements relating to the suspension and reinstatement of coverage endorsements (OPCF 16: Suspension of Coverage and OPCF 17: Reinstatement of Coverage) is false?
   a) The insured can request the insurer to suspend coverage for an indefinite period of time.
   b) This endorsement suspends coverage in relation to the use or operation of the described automobile.
   c) The insured is covered for liability under the suspended policy in the event he/she is driving a non-owned uninsured car.
   d) The suspended policy maintains coverage for Accident Benefits in the event that the named insured is injured as an occupant in a non-owned automobile.

23) Which of the following statements is true?
   a) Loss of earning capacity is a non-economic loss.
   b) Relatives of an accident victim may sue an at-fault driver for loss of care, guidance, and companionship under the Family Law Reform Act, but their damages are subject to a $19,778.27 deductible.
   c) Lawsuits for pain and suffering are permitted in any case where medical expenses exceeds $50,000.
   d) The threshold is defined as death, disfigurement, and impairment of bodily movements.

24) The Facility Association:
   a) Is an incorporated, for profit association of insurers.
   b) Ensures that automobile insurance is available to every licensed driver.
   c) Is a government department providing high risk insurance coverage.
   d) None of the above.

25) OPCF 48: Added Coverage to Offset Tort Deductibles:
   a) Reduces the tort deductible entirely on all judgments under $131,854.01.
   b) If the insured files a $100,000 claim under the Family Law Act for a pain and suffering judgment, the endorsement reduces the tort deductible by $10,000. The tort deductible can also be reduced by $5,000 for families who claim a pain and suffering judgment under $65,926.46.
   c) Can only be used in conjunction with the OPCF 44: Family Protection Coverage.
   d) None of the above.

26) Recovery from the responsible party for pain and suffering by the injured person on judgements under 131,854.01 is subject to a deductible of:
   a) $10,000 per person.
   b) $39,556.53 per occurrence.
   c) $39,556.53 per person.
   d) $10,000 per occurrence.

27) The Use of Recreational Vehicle by Unlicensed Operator provides coverage for which of the following:
   a) Snowmobiles, trail bikes, and all-terrain vehicles.
   b) Motor-scooters, snowmobiles, and motorboats.
   c) Trail bikes, motorcycles, and motor-scooters.
   d) Motorcycles, snowmobiles, and trail bikes.

28) Peter is 100% at fault. He has $5,000 damage to his car, $500 damage to contents of his car, and a $1,200 car rental bill. He carries All Perils $1,000 deductible and has the OPCF 20: Transportation Replacement covering up to $1,500 in car rental costs. How will his claim be settled?
   a) He was fully at fault so he will not receive any compensation for his damages.
   b) He'll get $5,000 - $1,000 deductible under All Perils to repair his car. He'll get $1,200 under his OPCF 20: Transportation Replacement for the cost of his car rental. He'll not be able to recover the $500 damage to the contents of his vehicle.
   c) He'll get $6,700 from his DCPD.
   d) He'll get $5,000 - $1,000 deductible under All Perils, $500 for contents under his DCPD and $1,500 for his car rental under DCPD.

29) If you are hit by an uninsured driver and you sustain “threshold” injuries, you will be able to collect $200,000 from your Uninsured Automobile coverage. Is there any OPCF that will provide coverage to top-up the amount of money you receive to further cover the amount you have been awarded for your injuries?
   a) OPCF 48: Decreasing Tort Deductible.
   b) OPCF 6A: Carrying Passengers for Compensation.
   c) OPCF 44R: Family Protection Coverage.
   d) OPCF 16: Suspension of Coverage.

30) Your client purchases a new 2024 Tesla Model Y for his spouse to drive. The vehicle is registered in the name of your client, but he will be financing the vehicle. How will the policy be titled?
   a) In the client’s name.
   b) In the name of the spouse as she is the primary driver.
   c) In the name of the client and the spouse, as they both have an interest in the vehicle.
   d) In the name of the financing company.

31) You are volunteering with the Cancer Society and get paid mileage and lunch paid for on those days you drive patients back and forth from treatment. Do you need any special coverage/OPCF to ensure you are covered while carrying patients?
   a) Yes, you need the OPCF 6A: Carrying Passengers for Compensation.
   b) Yes, you need the OPCF 44: Family Protection Coverage.
   c) No, volunteer driving is covered without a need to purchase any special coverage.
   d) None of the above.

32) OPCF 27, Liability for Damage to Non-Owned Automobiles and Other Coverages when Insured Persons Drive, Rent or Lease Other Automobiles:
   a) Section 7 coverage is extended to protect an insured against liability imposed by law for loss or damage arising from the care, custody and control of any non-owned vehicle.
   b) Covers the insured when he drives a friend's vehicle that does not carry physical damage coverage.
   c) Covers the insured when he rents a vehicle while on vacation, and does not choose to pay the extra costs of purchasing Collision and Comprehensive coverage on the car rental vehicle.
   d) All of the above.

33) OPCF 16: Suspension of Coverage-Minimum 45 Day Suspension:
   a) Suspends coverage for the use or operation of the described vehicle leaving the portable coverages provided under Liability, Accident Benefits, Uninsured Automobile and Direct Compensation--Property Damage Coverage.
   b) Is available for a minimum of 60 days.
   c) Allows you to drive your own vehicle occasionally.
   d) Requires that all vehicles on a policy be suspended when this endorsement is used.

34) The OPCF 28A: Excluded Driver endorsement:
   a) Eliminates Collision and All Perils when a driver is excluded.
   b) Eliminates all coverage except partial Accident Benefits while an excluded driver is driving.
   c) Eliminates Liability but maintains All Perils or Collision when an excluded driver is driving.
   d) All of the above.

35) When the third party is uninsured and is legally liable for bodily injury to the insured, coverage for the insured's shortfall can be provided by the:
   a) Passenger's risk clause.
   b) Amount paid clause.
   c) Excluding, reducing, or increasing coverage of named persons endorsement.
   d) Family Protection Coverage.

36) Which one of the following statements is incorrect?
   a) A signed application is not required before an auto policy is issued.
   b) An auto application may be signed after the policy is issued.
   c) There is no standard as to what you may or may not be asked on an auto application.
   d) The application contains underwriting and rating information.

37) Under an SPF 6: Standard Non-Owned Automobile Policy, which of the following would be covered?
   a) Company fleet vehicle.
   b) Car being driven by named insured.
   c) Driven by spouse of named insured.
   d) An employee using their own vehicle to perform duties in the course of the employer's business.

38) An employer may be held responsible for damages caused by an employee who uses his own vehicle in the commission of the employer's business. The employer can effect coverage against this eventually by purchasing a:
   a) OAP 1: Ontario Automobile Policy Owner's Policy.
   b) OAP 2: Ontario Driver's Policy.
   c) SPF 6: Standard Non-Owned Automobile Policy
   d) Business use endorsement which is attached to the employee's automobile insurance policy.

39) Your client contacts your office to advise you that her 16 year old son has just passed his G2 test and has decided to purchase a new vehicle. She advises you that her son registered it under his own name. How should the car be properly protected?
   a) Under an OAP 1 written in the name of the mom.
   b) Under an OAP 1 written in the name of the mom with an OPCF 32 which extends coverage to under aged drivers.
   c) Under an OAP 2: Ontario Driver's Policy.
   d) Under an OAP 1 written in the son's name.

SECTION 1 (9)

1) The Automobile policy may be terminated by:
   a) The insurer for any reason after 60 days.
   b) The insurer for the first two non-payments by registered letter giving 30 days' notice by registered letter or 10 days if hand delivered.
   c) Either party at any time.
   d) The insured giving seven (7) days' notice registered letter.

2) Under "Payment of Claims," the insurer must make the required payment within:
   a) 12 months after receipt of the proof of loss form.
   b) 90 days after receipt of the proof of loss form.
   c) 60 days after receipt of the proof of loss form.
   d) 30 days after receipt of the proof of loss form.

3) Who sets the rules for termination of the automobile policy?
   a) The insured.
   b) The Financial Services Regulatory Authority of Ontario, via the Insurance Act.
   c) The insurer.
   d) The broker who writes the policy.

4) Who may not give notice and proof of a claim under the automobile policy?
   a) Someone acting on the insured's behalf with insured's consent.
   b) Anyone else with no explanation required.
   c) An agent of the insurer.
   d) Spouse of the insured.

5) Which of the following is false with respect to cancellation of an automobile policy?
   a) The insurer may terminate the policy by giving 15 days written notice by registered mail for any reason other than non-payment.
   b) The insured may terminate the policy at any time.
   c) The insurer may not keep a minimum retained premium if the insured cancels the policy.
   d) The refund of premium must accompany notice of cancellation unless premium is subject to adjustment.

6) Which statement is incorrect?
   a) The insurer is required to provide 15 days written notice by registered mail to a client when the insurer terminates a contract of insurance for other than non-payment.
   b) The insurer is required to provide 10 day written notice if personally delivered to a client when the insurer terminates a contract of insurance for other than non-payment.
   c) The Insured can terminate coverage at any time subject to a premium return on a short rate basis.
   d) None of the above.

7) Which of the following is not an excluded use under the OAP 1?
   a) Driving while under the influence of intoxicating substances.
   b) Renting or leasing to another.
   c) Carrying explosives or radioactive material.
   d) Carrying passengers for compensation.

8) The insured is prohibited from driving or operating an automobile in all of the following circumstances except one. Pick the exception.
   a) While license to drive or operate an automobile is suspended.
   b) While the insured is not authorized by law or qualified to drive.
   c) While under the age of 16.
   d) While transporting clients or customers proposing to do business with the insured.

9) There are a number of provisions, definitions, and exclusions that apply to the entire automobile policy. All of the following statements are true except one. Pick the exception.
   a) Coverage is restricted to Canada, USA or upon a vessel plying between the ports of these countries.
   b) Any person who uses the automobile without the owner's consent is not entitled to Accident Benefits Coverage at all.
   c) Where the insured purchases a new automobile to replace the insured automobile, he is automatically covered for a period of 14 days.
   d) The insured automobile is not permitted to be leased or rented to others without the specific consent of the insurer.

SECTION 2 (8)

1) You own two automobiles, both insured with the same insurer. The 2010 automobile does not have Collision coverage while the 2013 automobile does. Which one of the following statements is true about the coverage provided by your insurer under the Newly Acquired Automobile definition when you replace the 2010 automobile?
   a) The replacement automobile will have the same coverage as the described automobile it replaces.
   b) The replacement automobile will not have Collision coverage until the insurer is notified and this optional coverage is purchased.
   c) Once notified, the insurer will update the policy and charge a premium on the replacement automobile from the date of purchase.
   d) All of the above.

2) Which of the following statements is true?
   a) A newly acquired automobile is automatically insured for a specified time period if it replaces another insured automobile.
   b) It is impossible to insure more than one automobile on the same policy.
   c) An automobile with a trailer attached is considered as two vehicles for the purposes of Accident Benefits limits.
   d) No coverage applies to Temporary Substitute Automobiles under the Liability coverage.

3) Other automobiles that are rented or leased are covered for Liability:
   a) For a period of not more than 30 days when rented by insured or spouse who lives with them.
   b) There is no coverage. Insured must purchase the Liability from the car rental company.
   c) Are covered for 60 days only.
   d) None of the above.

4) Your insured's vehicle is in the shop being repaired and he/she would like to borrow their friend Bill's car. What would you advise?
   a) Provided Bill gives consent, the insurance Bill has on his vehicle is primary. However, should there be a lack of coverage under Bill's policy, the insured's policy will respond accordingly to top up Bill's coverage to the limits the insured carries.
   b) Tell the insured to call the friend's insurance company.
   c) Tell the insured he must purchase OPCF 27: Liability for Damage to Non-Owned Automobile(s) to protect himself.
   d) The OAP 1 does not allow people to use other people's vehicles.

5) The OAP 1 definition of "the automobile" insofar as liability is concerned, does not include:
   a) A temporary substitute vehicle.
   b) A non-owned vehicle.
   c) A six (6) ton (5443 kg) delivery van borrowed from his employer and used regularly.
   d) A newly acquired automobile reported to the insurer within 14 days.

6) Who is covered to drive another vehicle other than the described automobile?
   a) All drivers who have been listed on the policy.
   b) Anyone with consent of the insured.
   c) Insured and his or her spouse who lives in the same household.
   d) All of the above.

7) What is the main factor that makes a borrowed/rented vehicle a temporary substitute automobile?
   a) A new vehicle has just been purchased.
   b) The described automobile is out of service.
   c) It covers garage personnel for damage they do to the vehicle/
   d) Your friend had an accident when he borrowed your truck to move furniture.

8) What coverage is available on a newly acquired automobile that is being substituted for one it replaces?
   a) The same coverage as the vehicle it replaces.
   b) Nothing, you have to notify your insurance broker and have the change made.
   c) Only the compulsory coverages.
   d) None of the above.

SECTION 3 (18)

1) Which of the following is covered under the OAP 1?
   a) A person using a vehicle without consent of the owner.
   b) The mechanic who took the vehicle out for a test drive when repairs were finished.
   c) A person borrowing their brother's vehicle with consent.
   d) A vehicle driven by an excluded driver.

2) Under Liability coverage, the insured is entitled to:
   a) Select his own counsel if sued.
   b) Claim for medical expenses if he injures himself while on vacation in Florida.
   c) Claim for medical expenses if he injures himself on the insured premises.
   d) Court costs even if they are paid over the policy limits.

3) Section 3.2 sets out who is covered by an OAP 1 which includes:
   a) Anyone who drives the insured vehicle.
   b) Anyone who drives the insureds vehicle with consent of the insured.
   c) Only those with an Ontario driver’s license.
   d) Only the named insured and spouse who lives with them.

4) What will Liability pay under the OAP 1?
   a) Bodily injury or death.
   b) Non-vehicular property damage.
   c) Cost of immediate medical aid.
   d) All of the above.

5) “We may on occasion be required by law to make payments, even though we are not otherwise liable for them under this policy. If so, you or other insured persons will have to reimburse us upon demand for those payments.” This refers to:
   a) Times when the insurer will pay over the limits of liability carried by the insured.
   b) The cost of repairing damage to the vehicle if the insured has violated the conditions of the OAP1.
   c) Amounts the insurer had to pay by virtue of the absolute liability law which may require the insurer to pay up to the minimum liability limits to a third party who suffers a threshold injury, even if the insured violated the policy conditions by driving with a suspended license.
   d) Payment of certain accident benefits.

6) If there is more than one named insured on the policy:
   a) The policy will treat each named insured as if they had their own separate policy so they could sue one another.
   b) The total amount the policy would pay if each named insured sued each other is the total amount of liability on the policy for the one event.
   c) (b) above also includes legal costs and post-judgment interest.
   d) All of the above.

7) Which of the following is not necessarily an insured under the liability coverage of an OAP 1 automobile policy?
   a) Anyone who drives the automobile.
   b) A guest of the insured opened the car door to exit the vehicle and knocked over an elderly person.
   c) The party whose name is on the policy (named insured).
   d) The named insured's sister to whom the insured has lent his car.

8) Your client's nephew, Bill, a licensed driver from Alberta, is involved in an at fault accident with your client's car. Bill had your client's permission to drive and has his own insured automobile in Calgary. A third party is injured in the accident. How will the claim be settled?
   a) Your client's policy would pay; however the insurer would subrogate against the Bill's policy.
   b) Bill's policy would pay only if permission is granted by the insurer for an out-of-province driver to operate the vehicle.
   c) The client's policy would pay.
   d) Because the driver is not licensed in Ontario, Bill's Alberta policy would pay.

9) After being involved in an accident where injuries occurred, an insured must:
   a) Contact a lawyer immediately.
   b) Comply with all requirements found in the policy.
   c) Try to settle amicably with the injured parties.
   d) Not do anything until he knows if there will be a claim.

10) Which one of the following is a responsibility of the insured under the terms of the OAP 1?
    a) Accept legal Liability for the accident.
    b) Participate fully with the insurer in any negotiations to settle any claim arising from an accident.
    c) Leave the collection of all information and evidence to the investigating police officers.
    d) Notify the insurer in writing within a specified number of days of any incident involving the vehicle.

11) The legal concept that obligates an insurer to pay Liability claims under an automobile policy even if the insured has violated policy conditions is known as:
    a) Absolute Liability.
    b) Additional Agreement of Insurer.
    c) Financial Responsibility.
    d) Motor Vehicle Liability.

12) A horse and buggy are hit by an automobile for which the automobile is at fault. The horse is killed. Neither the buggy nor the automobile have been damaged. Which of the motorist's automobile coverage applies to the horse?
    a) Accident Benefits.
    b) Comprehensive.
    c) Liability (Bodily Injury)
    d) Liability (Property Damage)

13) Which of the following is a true statement?
    a) Legal Liability arises out of negligence.
    b) Liability Coverage provides protection not only for the insured but also for anyone who drives or operates any part of the automobile without the insured's consent.
    c) Liability Coverage provides protection only in cases where the third party is liable.
    d) When a Liability claim arises out of a collision between two automobiles in Ontario, the parties can sue each other for their injuries no matter who was at fault.

14) Liability Coverage is designed to provide the insured with:
    a) Financial protection against liability imposed by law on the insured.
    b) Against legal liability for vehicular damage in an accident in Ontario.
    c) Financial protection following physical injury.
    d) Protection against claims for damages to car.

15) Liability Coverage of the OAP 1 does not cover:
    a) The cost to defend the insured against civil actions resulting from an automobile incident.
    b) Interest charged on the insured portion of judgments for damages against the insured.
    c) Liability for injury to the insured.
    d) The cost of investigating and negotiating a property damage claim.

16) Liability Coverage has several additional agreements to protect the insured if he is being sued. Pick the exception.
    a) Investigate, negotiate, and settle claims.
    b) Pay defense costs.
    c) Pay the minimum limit of liability in the province the policy originated in, regardless of what the minimum liability limits are in the jurisdiction where the loss occurred.
    d) Pay post-judgement interest on judgements within the limit of Liability the insured carries.

17) Liability excludes certain types of losses. Pick the exception that is not excluded.
    a) Damage done by a stolen vehicle.
    b) Damage to a guardrail when the insured was charged and later convicted of impaired driving.
    c) Injury to garage personnel.
    d) Loss resulting from contamination of property carried in an automobile.

18) When an insured is convicted of “liquor” offense, coverage will be provided by the policy in respect of the following claim only:
    a) Lost educational expenses.
    b) Bodily injury and property damage caused to a third party.
    c) Loss of income to insured who was injured in an accident.
    d) Physical damage to insured’s automobile.

SECTION 4 (18)

1) Which one of the following is not paid under Accident Benefits in the OAP 1?
    a) Medical Benefit.
    b) Loss of companionship.
    c) Income Replacement Benefit.
    d) Attendant Care Benefit.

2) Automobile insurance in Ontario contains certain faultless elements. Which coverage set out below has some faultless benefits?
   a) Loss or Damage coverage to the vehicle.
   b) Uninsured Automobile coverage.
   c) Liability coverage.
   d) Accident Benefits coverage.

3) You are in a car that is involved in an accident, and you are hurt. From whom will you claim Accident Benefits first?
   a) From your own automobile policy.
   b) From the policy covering the car you are in.
   c) From a policy covering any other vehicle involved in the accident.
   d) None of the above.

4) The amounts payable under Accident Benefits are:
   a) The amount of damages awarded by the courts.
   b) Awarded based on degree of fault the insured was found to be.
   c) Damages awarded by the courts subject to an aggregate amount.
   d) Are subject to the no-fault accident benefits schedule as laid down in the Supplementary Accident Benefits Schedule.

5) Your client is getting married next week. He got drunk and took the chance to drive home. He was rear-ended when stopped for a light and considered zero percent at fault. He was charged and subsequently convicted of impaired driving. Your client sustained serious injuries and will be off work for many weeks. What do you advise your client?
   a) You are not an adjuster but are aware of limits to coverage. Because he was convicted of Impaired Driving, he is not entitled to collect Income Replacement, Non-Earner Benefit or Compensation for Other Expenses.
   b) Income Replacement will pay but not more than $300 a week due to conviction.
   c) Since the accident was not your fault all of your accident benefits will respond.
   d) Don't worry. That's why you pay for insurance. Your accident benefits coverage will respond.

6) Which of the following is not an Accident Benefit?
   a) Funeral Benefit
   b) Income Replacement Benefit.
   c) Caregiver Benefit.
   d) Collateral Benefit.

7) Which of the following statements is false?
   a) There are no exclusions or limitations under Accident Benefits.
   b) Accident Benefits are paid without regard to fault.
   c) A no-fault benefit schedule states the amounts that will be paid.
   d) Optional buy up coverage is available for certain benefits.

8) Mary is a full-time caregiver to a disabled adult child. How much will the caregiver benefit pay to bring someone in to care for him if she sustains non-catastrophic injuries in a car accident?
   a) $36,000.
   b) $50,000.
   c) Nothing. The Caregiver Benefit coverage automatically granted by the OAP 1 only covers in the case of a catastrophic injury.
   d) Up to $250 a week.

9) Under the OAP 1, Accident Benefits from the Described Automobile are payable to:
   a) All occupants of the Described Automobile whoare not insured by an OAP 1.
   b) The named insured, his/her spouse, and dependents of either while occupants of any vehicle or as pedestrians when hit by any automobile.
   c) An uninsured pedestrian struck by the Described Automobile.
   d) All of the above.

10) The purpose of the loss of income benefits under the OAP 1 is:
   a) To provide payment for any medical expenses which the insured may incur.
   b) To provide a substitute for some earnings which an insured may lose if the injury prevents him/her from working.
   c) To provide the insured with temporary funds for the period of injury until such time as all of the lost earnings are recovered from the responsible third party.
   d) To provide punitive damages if the insured suffers from total disability or dismemberment.

11) The insured, while riding a bicycle, was struck by a car and injured. Medical payments for the insured will be:
   a) Covered by the striking car's OAP 1.
   b) Covered by the insured's OAP 1.
   c) Will not be paid because the insured is not at fault.
   d) Subrogated for by the insured's insurer.

12) I am retired and I am injured in an accident. After I send my application in to receive Non-Earner Benefits, how long do I have to wait before I get my first cheque?
    a) 90 days.
    b) 30 business days.
    c) 10 business days.
    d) 6 months.

13) With respect to automobile no-fault Accident Benefits coverage, which of the following statements is true?
    a) Under certain circumstances an injured person can claim under the policy of the vehicle in which he was riding.
    b) All persons may only claim Accident Benefits from the policy insuring the vehicle in which they were riding.
    c) An injured person can choose to claim under his own policy or under the policy of the vehicle in which he was riding.
    d) Pedestrians injured by any automobile always recover from the Ontario Motor Vehicle Accident Claims fund.

14) Accident Benefits coverage described in the OAP1 is designed to provide the insured with:
    a) Protection against claims for damage to automobiles following a collision.
    b) Insurance against legal liability for property damage to others.
    c) Financial protection following a physical injury.
    d) Financial protection against Liability imposed by law on the insured.

15) Who is an insured under Accident Benefits?
    a) Only the named insured and spouse who lives in the household.
    b) The person riding in your vehicle who is covered by their own OAP 1, covering their vehicle.
    c) The person you hit as a pedestrian who has their own OAP 1 covering their vehicle.
    d) Named insured, spouse, dependents, anyone riding in the vehicle, hit by the vehicle or in an uninsured vehicle if they do not carry nor are covered by any other OAP1 coverage.

16) Accident Benefits do not pay any expenses arising out of an automobile accident for:
    a) Vehicle damage.
    b) Loss of wages.
    c) Dental work.
    d) Funerals.

17) The limit on funeral expenses under Accident Benefits Coverage in Ontario is:
    a) $6,000.
    b) $4,000.
    c) $8,000.
    d) $3,000.

18) The following statements about automobile insurance are true except one. Pick the exception.
    a) Coverage territory restricted to Canada, the USA or upon a vessel plying between ports of those countries.
    b) Any person who uses an automobile without the consent of the owner is not entitled to any benefits whatsoever.
    c) Claims arising out of garaging activities are excluded.
    d) Definition of an occupant is restricted to any person who drives or is carried in or upon an automobile.

SECTION 5 (7)

1) Under Uninsured Automobile coverage:
    a) Death and bodily injury have a priority of payment on 95% of the total amount payable.
    b) Payment for damage to the automobile and its contents will have a priority on 5%.
    c) In no event will the policy pay more than the minimum liability limits required in Ontario.
    d) All of the above.

2) Uninsured Automobile coverage under the OAP 1 applies when:
    a) The insured is an occupant of an uninsured automobile.
    b) The insured is struck by an unidentified automobile.
    c) Neither (a) nor (b) is correct.
    d) Both (a) and (b) are correct.

3) If involved in an accident, a person may claim under Uninsured Motorist Coverage:
    a) When they have no insurance at all.
    b) For property damage but not for bodily injury.
    c) When the at-fault third party's limits are too low to cover the entire claim.
    d) Only if the at-fault motorist who hit them was unidentified or uninsured.

4) Under the OAP1, in the event of a physical loss, the insured may institute an action against his insurance company:
   a) 30 days after the date of the loss.
   b) 30 days after proof of loss is filed.
   c) At any time.
   d) Within one year of the date of the loss.

5) What coverage will respond and what amounts will your OAP 1 pay if you sustain a threshold injury and your car is totaled in an accident committed by an at fault driver who does not carry valid insurance?
   a) Your DCPD will pay the full amount to fix your car and your Liability will pay up to the Liability you carry on your OAP 1 to cover any judgment amount you receive for your pain and suffering.
   b) Your Uninsured Automobile coverage will pay up to the minimum Liability limit in Ontario to cover a judgment you may receive for bodily injury in which case you will get nothing to have your car replaced.
   c) There will be a priority of payment applied if there is insufficient money to fulfil a judgment and car repair. That priority shall be 95% applied to bodily injury and 5% applied to the property damage.
   d) None of the above.

6) Who is covered under Uninsured Automobile coverage of the OAP 1?
   a) An occupant of the Described Automobile.
   b) The insured, his/her spouse, and dependent relatives of either when an occupant of an uninsured vehicle or hit when a pedestrian by an uninsured or unidentified vehicle.
   c) Someone who does not own a vehicle but who drives a company vehicle when they are the occupant of an uninsured vehicle or if hit as a pedestrian by an unidentified or uninsured automobile.
   d) All of the above.

7) Where an insured is claiming injuries caused by an unidentified automobile, all of the following elements except one must be present if the claim is to be successful. Pick the exception.
   a) Must be shown that the identity of either of the owners or driver cannot be ascertained.
   b) Insured must show that he has been wholly and continuously disabled for a period of not less than 14 days.
   c) The accident must have been reported to authorities within 24 hours.
   d) The automobile in which the claimant was an occupant must be made available to the insurer for inspection.

SECTION 6 (6)

1) If Bill is 50% at fault in an accident, how much of his damages will he be able to receive under his Direct Compensation Property Damage?
   a) 75% of his damages.
   b) 25% of his damages.
   c) 50% of his damages.
   d) 100% of his damages.

2) Automobile insurance in Ontario contains certain no-fault elements. Which coverage set out below is based on no-fault benefits?
   a) Physical damage.
   b) Uninsured motorist.
   c) Liability.
   d) DCPD.

3) Under Direct Compensation Property Damage (DCPD), if an insured is dissatisfied with the determination of fault in a two-vehicle accident, she/he may sue:
   a) His/her own insurer.
   b) The insurer of the second vehicle involved.
   c) The driver of the second vehicle involved.
   d) Both the insurer and driver of the second vehicle involved.

4) Julie has a $300 DCPD deductible. She is deemed to be 50% at fault in an accident. How much of her DCPD deductible will she have to pay?
   a) 100% of her DCPD deductible.
   b) She doesn't have to pay a DCPD deductible because she is partially at fault.
   c) She doesn't pay a DCPD deductible but she pays 100% of her Collision deductible.
   d) 50% of her DCPD deductible.

5) After an automobile has been damaged in a not at fault accident, whose responsibility is it to protect the automobile from further damage?
   a) The insurance company.
   b) The person who is not at fault for the accident.
   c) The claims adjuster handling the claim.
   d) The person who is at fault for the accident.

6) Direct Compensation -Property Damage Coverage is used when an insured has:
   a) Vehicle damage and not at fault.
   b) Vehicle damage and at fault.
   c) Medical expenses and not at fault.
   d) Collision damage and at fault.

SECTION 7 (21)

1) All Perils coverage will cover:
   a) Losses resulting from theft of the automobile by an employee.
   b) Losses or damage to contents of trailers.
   c) Losses caused by the theft of a case of music CD's from the back seat of the automobile.
   d) Full replacement cost for a dangerously worn set of tires.

2) Rust is an example of which general category of exclusions usually found in the OAP 1?
   a) Losses wholly or partially under the control of the insured.
   b) Wear and tear.
   c) Illegal use.
   d) Those that can be insured elsewhere.

3) Coverage for Loss or Damage to the insured automobile by upset:
   a) Is compulsory under the Insurance Act.
   b) May be purchased under the Collision coverage option only.
   c) Is compulsory as a result of the direct compensation agreement.
   d) Can be purchased under either Collision or All Perils subject to a deductible.

4) The "Loss of Use Due to Theft" provision under the OAP 1 will pay:
   a) The replacement or repair cost of a substitute for the lost automobile.
   b) The actual cash value of the automobile at the time of the theft.
   c) Reasonable expenses incurred on public transportation, in taxis, or rental vehicle costs for the period between the theft of the vehicle and the settlement of the loss by the insurer.
   d) Any expenses arising from the rental of replacement transportation above the insured's initial payment of $900.

5) Which of the following is a Specified Peril?
   a) War.
   b) Vandalism or malicious acts.
   c) Riot.
   d) Collision.

6) Which of the following is not covered by Specified Perils?
   a) Vandalism.
   b) Hail.
   c) Riot.
   d) Windstorm.

7) The following damage is included under All Perils coverage:
   a) Vandalism of a vehicle.
   b) Rusting of the vehicle body.
   c) Radioactive contamination.
   d) Damage caused to the vehicle while the driver was under the influence of drugs.

8) Which of the following types of claims would be covered by the Comprehensive coverage?
   a) You return to your car in the mall parking lot to discover a dent in the body where another car has hit it.
   b) You leave your car in a hotel parking lot in New York while there for the weekend and in the morning you find the car up on blocks and your nice shiny chrome alloy wheels stolen.
   c) You are presented with an $800 bill for rehabilitation therapy required after an automobile accident.
   d) You are sued for $400,000 after negligently running over a 9 year old boy on his bicycle.

9) Which of the following would allow the vehicle to be repaired under Loss or Damage coverages?
   a) You are involved in an accident and are subsequently convicted of the dangerous operations of a motor vehicle.
   b) You are found to be 75% at fault in an accident that happens while you are driving a newly purchased pick-up truck home from the dealer's lot. You have not notified your insurer of the purchase. It was a substitution from one vehicle to another with the original vehicle carrying All Perils besides the mandatory coverage.
   c) You drive your vehicle and get involved in an at fault accident while your license is under suspension.
   d) You had a tire blow-out and want your tire replaced.

10) The OAP 1 will not pay which of the following charges:
   a) Salvage charges.
   b) General average charges.
   c) Charge to repair flat tire.
   d) Fire department charges.

11) In which one of the instances will the insurer pay to repair or replace the vehicle following a loss?
    a) When the insured is convicted of impaired driving.
    b) When the insured is driving while not authorized by law.
    c) When the insured is driving to work over 60 km one way.
    d) When the insured is in a race or speed test.

12) Earthquake is covered under:
    a) All Perils, Comprehensive, and Specified Perils.
    b) All Perils only.
    c) Comprehensive but not Specified Perils.
    d) Comprehensive only.

13) Under Loss of Use Due to Theft, which of the following statements is correct?
    a) Reimbursement begins 24 hours after theft has been reported to the police.
    b) Reimbursement begins 72 hours after theft has been reported to the insurer.
    c) Reimbursement begins 72 hours after theft has been reported to the insurer or the police.
    d) Maximum reimbursement time is 30 days, up to $600 limit.

14) The insured has Collision and Comprehensive on his automobile. Which of the following is not included in these coverages?
    a) Custom duties charged on repairs to the automobile while the insured was vacationing in the states.
    b) Theft of the automobile by the insured’s roommate.
    c) Loss of Use Due to Theft.
    d) Legal Liability for damage to a temporary substitute automobile.

15) Which of the following is covered under the Specified Perils?
    a) A passing truck throws up a rock that shatters the insured automobile's windshield.
    b) The insured automobile is being transported by rail from Toronto to Vancouver, the train is derailed and the automobile is demolished.
    c) The undercarriage of the insured automobile hits the ground on a rough and rutted country road and the muffler is torn off.
    d) Vandals slash the tires and scratch the paint on the insured automobile.

16) Under Additional Benefits, the insurer agrees to waive subrogation against which of the following?
    a) A neighbor driving the automobile with the insured's consent.
    b) A driver who breached a policy condition.
    c) Someone who had the automobile in connection with the business of selling or repairing automobiles.
    d) Someone who is in the business of storing or parking automobiles.

17) A driver leaves a tavern and is involved in an accident, for which he is subsequently charged and convicted of impaired driving. Which of the following would not be covered under his OAP 1?
   a) Collision damage to his vehicle.
   b) Injuries to himself.
   c) Damage to the light pole.
   d) Injuries to the other driver.

18) The insured carries a $300 deductible for All Perils on his policy. In which of the circumstances does the deductible apply:
   a) The vehicle is damaged by fire.
   b) The hub caps are stolen.
   c) Electrical fire damages car.
   d) The vehicle is struck by lightning.

19) Where there is physical damage to the insured automobile, all of the following statements are true except one. Pick the exception.
   a) Insured entitled to effect only such repairs as are immediately necessary for protection of the automobile.
   b) Insurer agrees to pay such expenses as are necessary to protect the automobile from further loss or damage.
   c) Settlement of all losses determined on basis of Actual Cash Value.
   d) Where insured disputes amount of settlement offered, only resource available to him is to take legal action against the insurer.

20) The Additional Benefits section of the automobile policy provide for payment of general average costs assessed against owners of automobiles. This agreement to make such additional payment is an extension of the following coverage:
   a) Liability.
   b) Accident Benefits.
   c) Collision and Comprehensive.
   d) Loss of Use.

21) According to the Statutory Conditions, the insured:
   a) Can abandon the damaged property to the insurer.
   b) Must arrange for repair of the damaged property immediately.
   c) Must take all reasonable steps to prevent further loss or damage to the property.
   d) All of the above.

Habitational Insurance (26)

1) An unoccupied building:
   a) Is not covered against vandalism.
   b) Is not covered against theft.
   c) Has no occupants or contents.
   d) Is one in which no humans are present.

2) Smoke damage covers:
   a) Smoke damage to the side of the house caused from a fire in the house next door.
   b) Smoke damage to walls caused by a grease fire in the kitchen.
   c) Smoke damage to the ceiling caused by a fire from an unattended candle.
   d) All of the above.

3) It is often confusing to an insured when discussing co-insurance obligations and the replacement cost clause. As an insurance professional, you would advise your client to:
   a) First determine the actual cash value of the property to be insured.
   b) First determine the replacement cost of the property to be insured.
   c) Determine the original cost of the property.
   d) Determine the resale value of the property.

4) If you accidentally spill a cup of coffee on an antique chair, this will most likely be covered under:
   a) A Comprehensive Homeowner Policy.
   b) Personal Articles Coverage.
   c) Unit Improvements and Betterments.
   d) Loss Assessment.

5) An insured has driven his car into the side of his house by accident. What will pay for this damage?
   a) Liability Coverage under the OAP 1.
   b) Personal Liability under the Comprehensive Homeowner Policy.
   c) Peril of vehicle impact under the Comprehensive Homeowner Policy.
   d) None of the above.

6) Not all property of the insured is automatically covered under the Comprehensive Homeowner Policy. Which of the following is not correct?
   a) Windstorm damage to a detached tool shed is covered.
   b) Smoke damage to the drapes following a kitchen fire is covered.
   c) Fire damage to the insured's Secondary Residence is covered.
   d) Two weeks of hotel expenses for the insured while repairs are made to the roof following collapse due to weight of ice and snow is covered.

7) A Condominium Unit Owner Package Policy covers which of the following:
   a) Shares with the Condominium Corporation in insuring the building.
   b) It insures the unit, Personal Property and includes coverage for Improvements and Betterments.
   c) Insures Unit, building, and includes a provision for Improvements and Betterments.
   d) All of the above.

8) The Comprehensive Homeowner Package Policy automatically includes:
   a) Additional Living Expense.
   b) Scheduled property.
   c) A Seasonal Dwelling.
   d) None of the above.

9) Which of the following statements is false?
   a) The insurer always takes ownership of the salvaged debris, and nothing can change that.
   b) Insurers may decide to repair or replace the damaged property.
   c) If an insurer decides to repair, work must be commenced within a stated time after proof of loss is received.
   d) Insurers must pay an insured cash if he/she desires, after a loss.

10) The insured gets to choose the basis as to how his loss will be settled on:
   a) Commercial Fire Insurance on building and contents.
   b) The principal residence building and outbuildings on a Homeowner Policy.
   c) Third Party Liability claims.
   d) The insured's cottage if it is insured under the same policy as the primary residence.

11) Which of the following is not true of a Condominium Corporation?
   a) It buys insurance for the condominium units on behalf of their owners.
   b) Its members are comprised of the owners of the condominium units.
   c) It buys insurance for the condo building on behalf of the builders.
   d) Its by-laws are binding on all members of the corporation.

12) The Comprehensive Homeowner Policy:
    a) Is an all risk policy.
    b) Provides all risk coverage on the building and named perils on the contents.
    c) Contains no exclusions.
    d) Is only available on new houses.

13) With respect to the Comprehensive Homeowner Policy, which of the following statements are true?
    a) All residential policies are written subject to a Guaranteed Replacement Cost provision.
    b) The Guaranteed Replacement Cost Provision allows an insured to replace a destroyed building at another location.
    c) The Guaranteed Replacement Cost provision states that payment will be subject to depreciation.
    d) The insurer will pay replacement costs even if these exceed the amount of insurance on the dwelling building if all conditions are met.

14) Under the Liability section of the Homeowner Policy, you are covered for claims arising from:
    a) Your ownership of aircraft while being operated by your employees for pleasure.
    b) Your operation of a rooming house that you do not live in.
    c) Legal Liability arising out of your personal actions anywhere in the world.
    d) Bodily injury to persons residing in your household other than residence employees.

15) What provisions are included in the Comprehensive Homeowners for removal of property to prevent further loss or damage?
    a) Automatic coverage applies for 7 days regardless of the expiry date of the policy.
    b) Automatic coverage is given for a limited time and subject to certain conditions.
    c) Automatic coverage covers only one single additional location.
    d) Optional coverage is available for a nominal additional premium.

16) Special assessments can be levied against unit owners if the amount available under the Condominium Corporation Building Policy is insufficient. Under which circumstances could this coverage apply?
    a) Underinsurance.
    b) Breach of policy conditions.
    c) Upgrading.
    d) Both a) and b).

17) Inflation endorsements:
    a) Automatically increase the amount of coverage during the policy period based on the basis of certain indices.
    b) Are values in times of low inflation.
    c) Are usually added subject to an additional premium.

d) Usually apply to buildings only.

18) Premises means: all premises where the person(s) named as Insured in the Declarations, or his or her spouse, maintains a residence, including seasonal and other residences, provided such premises are specifically described in the Declarations. It also includes:
   a) Premises where you are residing temporarily or which you are using temporarily, as long as you are not the owner of the premises or the lessee or tenant of the premises under any agreement which is longer than 90 consecutive days.
   b) Vacant land in Canada you own or rent, other than farm land.
   c) Land in Canada where an independent contractor is building a one, two or three-family residence to be occupied by you.
   d) All of the above.

19) We will pay for unintentional direct damage you cause to property even though you are not legally liable. What coverage does this refer to?
   a) Coverage E: Personal Liability.
   b) Coverage H: Voluntary Compensation for Residence Employees.
   c) Coverage F: Voluntary Medical Payments.
   d) Coverage G: Voluntary Payment for Property Damage.

20) Which of the following is not covered by a Comprehensive Homeowner Policy?
   a) The rental to others, or holding for rent, of not more than 3 car spaces or stalls in garages or stables.
   b) Personal actions during the course of your trade, profession or occupation which are not related directly to your trade, profession or occupation.
   c) Self-propelled land vehicle, amphibious vehicle or air cushion vehicle, provided the vehicle is not subject to motor vehicle registration and is designed primarily for use off public roads.
   d) Business pursuits or any business use on the premises other than as provided under “business and business property.”

21) Subject to policy terms and conditions, Section II - Personal Liability:
   a) Covers you for your intentional acts.
   b) Covers you for causing third party bodily injury only.
   c) Covers you for causing bodily injury or property damage.
   d) Covers you if you are found legally liable for bodily injury or property damage.

22) Comprehensive Personal Liability will cover:
    a) Your operations of running a furniture-making business in your basement.
    b) Injury to your babysitter who slips on a loose staircase carpet in a friend's home.
    c) A guest that tripped on a loose step in your home and injuring herself.
    d) Medical expenses when your neighbor's children catch the chickenpox from your son.

23) When a Standard Mortgage Clause is attached to a policy:
    a) The insurer could be called upon to pay a loss to the mortgagee even though the insured has violated a condition of the policy.
    b) The mortgagee is not required to advise the insurer of any material changes in risk that they are aware of.
    c) The insurer may cancel the policy and is only required to send a registered letter to the insured.
    d) Neither the insurer nor the insured may cancel the policy as long as the insured owes the mortgage.

24) You have inherited a very old and expensive painting. It should be covered under:
    a) Scheduled Personal Articles Coverage.
    b) Additional Conditions under your Homeowner Policy.
    c) Fine Arts Coverage.
    d) Personal Property coverage of the policy.

25) Water damage resulting from sewer back-up:
    a) Is covered under most policies subject to limitations.
    b) May be covered by Sewer Back-up Coverage for additional premium.
    c) Is an included coverage under most policies.
    d) Is not insurable.

Commercial Insurance (29)

1) Which is true in regards to a Boiler and Machinery Policy?
   a) It covers boiler and pressure vessels.
   b) The major peril of boiler and pressure vessels is breakdown.
   c) A big danger with electric motors is explosion.
   d) It would not usually be required for a garage risk.

2) The Basic Fire Policy:
   a) Covers fire, lightning and specified types of explosion.
   b) Is required by law to cover fire, windstorm and lightning.
   c) Covers fire, explosion and windstorm.
   d) Always covers lightning and specified types of explosion.

3) Business Interruption Insurance:
   a) Protects against loss of earnings to the insured's business if a supplier is unable to supply parts due to a labor dispute.
   b) Protects the business from loss of earnings from the interruption of their business due to an insured peril.
   c) Covers the financial loss resulting from the destruction of the business and its contents.
   d) All of the above.

4) Under the Commercial General Liability (CGL) Policy, which of the following statements is true?
   a) Personal Injury is the same as Bodily Injury.
   b) There is no limitation on what can be paid out.
   c) Each occurrence is the maximum that will be paid for all occurrences.
   d) There is a care, custody, and control exclusion under Property Damage Liability.

5) Extra Expense Insurance:
   a) Covers income lost as a result of plant shut-down.
   b) Is useful only when a firm can carry on after a loss, although at an additional cost.
   c) Is a viable alternative to a Gross Earnings Form.
   d) Is usually subject to a Co-Insurance Clause.

6) Which of the following losses is not covered under a 3D Policy?
   a) Wrongful abstraction of money.
   b) Forgery of cheques by an employee.
   c) Acceptance in good faith of a counterfeit money order.
   d) Theft of money from the business by a partner.

7) The purpose of a Fidelity Bond is to:
   a) Make sure bids for a construction job are made in good faith.
   b) Protect the financial interests of one relying on another's management.
   c) Guarantee the proper performance of construction work.
   d) Guarantee the honesty of employees.

8) Fidelity Bonds are designed to protect clients from:
   a) Robbery outside the premises.
   b) Forgery of cheques at an overseas distribution office.
   c) Infidelity from within the organization.
   d) Acceptance in good faith of counterfeit money.

9) The Co-Insurance Clause is designed to:
   a) Prevent the chance of a total loss.
   b) Transfer part of the risk to another insurer.
   c) Force the insured to bear a portion of any partial loss if underinsurance exists.
   d) Penalize the insured in the event of being over insured.

10) What is the best way to insure commercial stock for a business like a card store that has stock values that are higher for certain months?
   a) There is no special way to do this.
   b) Premium Adjustment Clause.
   c) Peak Season endorsement.
   d) Extra Expense coverage.

11) Which of the following is not covered under a Stock policy?
   a) Goods held for sale.
   b) Advertising.
   c) Potted plants.
   d) Inventory.

12) Which of the following are parties to a surety agreement?
   a) Principal.
   b) Obligee.
   c) Surety.
   d) All of the above.

13) The Commercial General Liability policy does not provide coverage for which of the following:
    a) Personal injury.
    b) Punitive damages.
    c) Bodily injury.
    d) Property damage.

14) A client of yours is a contractor and is in the process of knocking down a wall for his client's home. As a result of this, there is damage to his client's vehicle. Which liability form would protect the contractor if he were found negligent?
    a) Automobile Liability.
    b) Personal Liability.
    c) Contractor's Liability.
    d) Tenant's Legal Liability.

15) Very large risks are often insured by means of a:
    a) Manuscript Policy.
    b) Prescriptions Policy.
    c) Extension Policy.
    d) Subscription Policy.

16) An armored truck guard is picking up daily deposits from the bank. A masked man throws him to the ground and takes the money. This is an example of:
    a) Theft.
    b) Burglary.
    c) Robbery.
    d) Consideration.

17) Which of the following would be the party taking out the bond?
    a) Obligee.
    b) Principal.
    c) Surety.
    d) None of the above.

18) Business Interruption insurance may be described as coverage that will protect the insured for:
    a) The indirect loss of income which results when there is a shutdown of the business due to an occurrence of a peril insured against and normal operations cannot be carried on.
    b) Fire damage to finished goods which the insured has manufactured and is in storage waiting for shipment.
    c) Loss of business brought about by poor management and improper use of the insured's funds.
    d) Interruptions in his/her business operations due to labor disputes.

19) A subscription policy differs from other policies in that:
    a) It is specifically designed for a particular risk and does not use preprinted wordings.
    b) More than one insurer participates in a policy prepared by the lead company.
    c) More than one company covers a portion of the risk under its own wording.
    d) Court decisions have established the meanings of words regardless of the intent.

20) Brant Construction has almost completed a building on Main Street. A tornado ripped through town demolishing the new building and destroying material on the site. What coverage would cover such a loss?
    a) Installation floater.
    b) Builder's Risk.
    c) Commercial Building form.
    d) Commercial Building, Equipment, and Stock.

21) A building worth $250,000 is insured for $150,000 on a policy which has an 80% Co-Insurance Clause and fire damage amounting to $50,000. How much will the insurer pay?
    a) $37,500.
    b) $30,000.
    c) $40,000.
    d) $50,000.

22) Building is valued at $265,000 and is insured for $200,000. The loss is $60,000. 90% co-insurance applies. What will the insurer pay?

23) Building is valued at $265,000 and is insured for $200,000. The loss is $245,000. 90 % coinsurance applies. What will the insurer pay?

24) Building is valued at $250,000 and is insured for $200,000. The loss is $70,000. 90 % co-insurance applies. What will the insurer pay?

25) Building is valued at $440,000 and is insured for $380,000. The loss is $250,000. 90 % co-insurance applies. What will the insurer pay?

26) Building is valued at $250,000 and is insured for $210,000. The loss is $40,000. 80% co-insurance applies. What will the insurer pay?

27) Building is valued at $250,000 and is insured for $240,000. The loss is $80,000. 80% co-insurance applies. What will the insurer pay?

28) Building is valued at $500,000 and is insured for $480,000. The loss is $4,500. 100% co-insurance and the 2% waiver of co-insurance applies. What will the insurer pay if there is a $500 deductible?

29) Building is valued at $300,000 and is insured for $290,000. The loss is $75,000. 80% co-insurance applies. What will the insurer pay if there is a $1,000 deductible on the policy?

Case Studies

Case Study 1

Bill and Mary have been living together for two years. They have a Tenant's package in both names. Bill has full coverage on his truck and Mary has full coverage on her SUV. The policy was set up in both names. Mary is a graphic design consultant working out of their apartment. Bill is a sales rep for a large manufacturing company.

1) They celebrate Mary's birthday with a weekend away at a golf resort. They watch in horror as someone falls out of a golf cart, only to be run over by it. This makes Bill wonder if he would be covered under his insurance if he were to accidentally hit a golfer with his cart. Would he? (1 Mark)

2) Over a romantic dinner, Bill proposes to Mary and presents her with a lovely $12,000 engagement ring. What would you recommend? (1 Mark)

3) One of Mary's clients slips on a rug in Mary's apartment office. He is injured and will likely sue. Is Mary covered? (1 Mark)

4) At work, Bill has to park his car beside the office on the side of the road. Does his OAP 1 cover him if someone hits his vehicle and leaves a note identifying themselves and giving their insurance information? Where or to whom would he go to get his vehicle repaired? (2 Marks)

5) Mary's sister's house was damaged recently by a kitchen fire when Mary's nephew was cooking French Fries. The family had to move out until the repairs were made. Her sister's house insurance policy paid for them to live in a hotel. Mary wonders if they have the same coverage under their Tenant's package. (1 Mark)

6) Bill has a hobby carving duck decoys and he sells them at harvest and Christmas fairs. If they are destroyed in an apartment fire or stolen, are they covered under his Tenant's package? (1 Mark)

7) Is Mary's sister covered while she borrows Bill truck to move her son's furnishings into residence in a nearby town? (1 Mark)

8) Is Mary's nephew covered under his parent's homeowner's policy when he is away at school? (1 Mark)

9) Bill and Mary are talking about doing a small renovation to their apartment and installing a dishwasher. Would this be covered under their Tenant's Package? (1 Mark)

Case Study 2

Bill and Mary have decided to buy a condominium.

1) A Condominium Unit Owners Policy can be described as a "Tenant's package with frills." What is the difference in coverage between their Tenant's package and the Condominium Unit Owners policy they need once they buy their Condominium? (1 Mark)

2) The condo has old rugs. They want to pull the rugs out and install ceramic and hardwood floors. Is there coverage on the renovations they do to their condo unit? (1 Mark)

3) Mary got a new job with an advertising company. Her friend works at the same place, and they decide to car pool to work together. Is this covered by Mary's auto policy? Does she need extra coverage? (2 Marks)

4) Mary buys a new car but for tax reasons has the ownership put in Bill's name. Now both vehicles are in Bill's name. Can they leave the auto policy in the name of Bill and Mary? (1 Mark)

5) Bill's sister came to visit from California. While helping to hang curtains, she fell and was hospitalized. The bill comes to $3,000. She did not have travel insurance. Is there any coverage under Bill and Mary's Condominium Unit Owner Policy that will respond to this loss? (1 Mark)

6) A few days before the wedding Mary and her bridesmaids went to pick up their dresses. On the way home they are involved in an accident and the dresses are destroyed. The other driver was 100% at fault. Can they get their dresses replaced? Under whose policy? (2 Marks)

7) Bill and Mary go on a honeymoon to Barbados. Bill's laptop is stolen from their room. Would it be covered under their Condominium Unit Owners policy? A candle is knocked over and there is extensive fire damage to their room. Would the damage they cause to the hotel be covered? (2 Marks)

Case Study 3

1) An elderly family member is selling his cottage on an island. Bill and Mary decide to purchase it. How do they insure it? (1 Mark)

2) An older boat and motor are included in the sale of the cottage. The motor is a 12 HP Evinrude outboard motor valued at $3,000 and the boat is a 12 foot aluminum fishing boat valued at $800. Bill wants to know if the boat is insured. What about if he hits a water skier, is he covered for that? (2 Marks)

3) The outboard boat and motor is running pretty rough, so Bill finds a great deal on a 20 HP outboard motor. Is he covered if he gets rid of the 12 HP and used the 20 HP motor to get back and forth from the landing from their cottage? If not, what does he have to do to ensure it is covered? (2 Marks)

4) Mary is going to replace some of the old furniture at the cottage with some new furniture. She wonders if there is coverage if someone breaks in and steals the new furniture. What about vandalism? (2 Marks)

5) Bill's truck is vandalized while it is parked at the landing one weekend at the cottage. He carries All Perils $1,000 deductible. Is the damage covered? Does Bill have to pay his $1,000 deductible? (2 Marks)

6) The cottage is insured for $75,000 on a Seasonal Fire and Extended Coverage policy. There is a garage and a boat house on the premises, each valued at $5,000. If wild fires destroy the cottage and outbuildings, how much will the policy pay? (1 Mark)

Case Study 4

1) Bill and Mary decide to buy a snowmobile so they can go to the cottage in the winter. How should they insure it? (1 Mark)

2) Will Mary's brother, who does not have a driver's license, be able to drive the snowmobile? (1 Mark)

3) Mary's sister is injured in a car accident and unable to go to work for several weeks. Who will she be able to collects Income Replacement benefits from? Her own policy or the policy of the vehicle that hit her? (1 Mark)

4) Mary's niece, Jill, is 18 and will be getting her G2 license next month. Does she need her own policy to drive her father's car? If he buys her a car can he insure it on his policy? (2 Marks)

5) Mary is in an accident, for which she is deemed to be 50% at fault. Mary has $8,000 damage on her vehicle and has a $500 car rental bill. She carries All Perils $1,000 deductible. How will her vehicle be repaired? (2 Marks)

6) Bill and Mary are thinking of buying a house. What type of policy will they need? How does it differ from their Condominium Unit Owners Policy? (2 Marks)

7) The area they are moving to has a history of sewer backup claims. Would their new policy on their home cover them for sewer backup coverage? (1 Mark)

Case Study 5

1) While packing to move to their new home, Bill finds an unopened box of his grandfather's baseball card collection that Bill inherited. He has them appraised in a shop that specializes in sports cards. It is determined the collection is worth $2,800. Will it be covered under his policy? Would you recommend anything? (2 Marks)

2) Bill was involved in a car accident recently and is being sued by one of the injured passengers. Is he covered under his automobile policy? Should he go out and get his own lawyer? (2 Marks)

3) On a trip to Toronto, Mary is hit by someone who does not carry insurance. She sustains $23,000 damage to her vehicle. Does she have recourse under her own auto policy? If so, under what coverage, and is there a limit on what they will pay for auto repair? (3 Marks)

4) Bill is burning the grass to get rid of the dry stuff and the fire gets out of control and burns down his neighbor's shed, damages his neighbors' pool cover and sets fire to a large portion of his neighbor's eight foot high cedar hedge. Is he covered if the neighbors' insurance company comes back to him to be reimbursed for the amount they paid out in repairs? (1 Mark)

5) Mary bought a little sailboat for use at the cottage. It is 16 feet long and is valued at $4,000. She does not bother to insure it. Is she covered if she races her sailboat in a local regatta Sunday morning? (1 Mark)

6) Mary and Bill plan to do $10,000 in kitchen and bathroom renovations to the home they recently purchased. Do they have to tell their insurance company about the renovations if they want their renovations insured? (1 Mark)

Case Study 6

Harold Jones and Julie Smith are engaged to be married and visit your office to discuss their insurance needs. They each own a car insured on an OAP 1 and will be renting an apartment next to a golf course.

1) What policy would you recommend to insure their possessions? (1 Mark)

2) They are planning on making some changes to their apartment. Will their policy cover the improvements? (1 Mark)

3) Julie's engagement ring cost $2,500. How should it be insured? (1 Mark)

4) They're planning a honeymoon. Will their personal belongings be covered during the trip? (1 Mark)

5) If they accidentally cause a fire that damages the apartment are they covered? (1 Mark)

6) Is Harold's mother covered if she slips and injures herself on a visit? (1 Mark)

7) Is he covered if he hits a golfer with his golf cart while golfing? (1 Mark)

8) Does parking outdoors affect the OAP 1? (1 Mark)

9) Do they have to insure their snowmobile? How? (1 Mark)

10) She joined a carpool for work. Will it affect her insurance? (1 Mark)

Case Study 7

Two women buy a condo together. They both have their own vehicle.

1) Name the differences between the condo and tenants package? (1 Mark)

2) If they add hardwood flooring to their unit, is it covered? Why? (2 Marks)

3) If Woman A borrows Woman B's car is she covered? (1 Mark)

4) If Woman A is a teacher and tutors' kids at her condo and they get injured is she covered? (1 Mark)

5) If the maid gets injured accidentally do the girls have liability? (1 Mark)

6) If Woman B carpools to work, does that affect her premium? (1 Mark)

Case Study 8

Your client Mr. and Mrs. Applesmith own a house which is valued at $120,000 and is properly insured on a Comprehensive Homeowner Policy. They have two automobiles, one with full coverage and one with Liability and Comprehensive.

1) Under the Homeowner Policy, are the clients covered for a part time business that their daughter is running from the basement of the home? (1 Mark)

2) What about the business equipment? (1 Mark)

3) Should they decide to purchase a new vehicle but are not able to contact you, what would you advise them? (1 Mark)

4) While on vacation, Mrs. Applesmith loses her diamond ring. Is she covered? (1 Mark)

5) On their next vacation they have decided to rent a chalet in Whistler. They have concerns about whether this is covered. What do you advise them? (1 Mark)

More Sample Exam Questions & Case Studies (Answers)

Principles & Practices of Insurance (40)

1) _____ is an attempt by the insured to secure a lower rate from the underwriter by deliberately changing the description of his risk as lesser than it actually is.
   a) **Misrepresentation.**
   b) Warranty.
   c) Accommodation.
   d) Inherent vice.

2) Insurable interest is:
   a) Interest earned on certain types of life insurance.
   b) **The monetary interest a person may have in a property.**
   c) Interest an insurer earns on investments.
   d) Interest allowed by the courts in some claims awards.

3) Coverage is:
   a) The amount the insured paid the insurer.
   b) **The term used for insurance protection.**
   c) The amount the insurer paid the insured.
   d) Information given about the insured.

4) Insurance is based on the existence of:
   a) **Risk.**
   b) Loss.
   c) Hazards.
   d) Credit.

5) What is subrogation?
   a) Actual cash value.
   b) The sharing of the loss or liability between two or more insurers covering the same risk.
   c) The insurance of insurance companies.
   d) **The legal process by which an insurer who has paid a loss pursues its right of recovery against a responsible third party.**

6) What is the primary function of insurance?
   a) Determining rates and premiums.
   b) Theory of probability.
   c) Law of large numbers.
   d) **Spreading the risk.**

7) A peril is an event which causes a loss to occur. Which of the following is not a peril?
   a) Fire.
   b) Windstorm.
   c) **Slippery stairs.**
   d) Vandalism.

8) An assessment mutual collects funds:
   a) By charging a 50% higher premium to all policy holders.
   b) By having the members pay the full premium.
   c) **By having the members pay a portion of the premium then sign a premium note to be drawn on if needed.**
   d) By having the members pay an administration fee.

9) A valued contract is a policy:
   a) **Under which, in the event of a loss, a specified amount will be paid.**
   b) Which produces a very large premium.
   c) Which will always provide strict indemnity.
   d) Which will pay for the replacement of a lost or destroyed item.

10) Insurance does not apply to a loss that:
   a) Is accidental.
   b) May happen in the future.
   c) Is caused by the carelessness of the insured, provided the action is not a listed exclusion.
   d) **Is caused with intent.**

11) Which of the following is correct?
   a) Moral hazard is easier to detect and correct than physical hazard.
   b) A hazard can cause a loss to be less severe.
   c) **A peril is an event which may cause a loss to occur.**
   d) An example of a physical hazard is obsolescence of plant and machinery.

12) Indemnity means:
   a) Sending a cheque for a loss.
   b) Paying the amount insured.
   c) Putting the insured in the same financial position he was in when the policy was originally taken out.
   d) **Putting the insured in the same financial position he was in immediately prior to the loss.**

13) Which of the following is not a responsibility of the broker?
    a) Report all claims to insurer promptly.
    b) Submit applications promptly.
    c) Act within the terms of the agreement with the insurer.
    d) **Settle automobile claims.**

14) Which of the following would not be considered as part of the broker's duties?
    a) **Service and settle claims.**
    b) Represent the client and client's interest.
    c) Represent the insurer.
    d) Deposit the premiums in a trust account and transfer the proceeds to the insurer at a later date.

15) An example of a Bailor is:
    a) A tailor shop.
    b) A Jeweler who takes in a watch for repair.
    c) **The owner of the watch above.**
    d) All of the above.

16) A Bailee is one who:
    a) Owns a certain amount of property.
    b) Posts bail to get someone out of jail.
    c) **Has someone else's property in his possession for safekeeping or repairs.**
    d) Stores his possessions with someone else for one reason or another.

17) Statutory conditions:
    a) **Are conditions in an auto policy required by provincial law, which are designed to protect the rights of the insurer and the insured.**
    b) Are required by the insurance company.
    c) Are not part of the OAP 1.
    d) Include terms relating to the cost of collision coverage.

18) Negligence must be established before payment will be made under:
    a) **Liability for Bodily Injury.**
    b) Medical payments and loss of income.
    c) Immediate medical aid.
    d) Hail damage to a vehicle.

19) The following is unique to insurance contracts:
    a) Utmost good faith.
    b) Insurable interest.
    c) Indemnity.
    d) **All of the above.**

20) "The losses of the few are shared by the many" best describes which of the following:
   a) Spread of risk.
   b) Risk retention.
   c) Speculative risk.
   d) **Insurance.**

21) In terms of insurance, a broker can only bind coverage:
   a) In writing.
   b) Verbally.
   c) That which exceeds binding authority.
   d) **A & B.**

22) Binding authority is the:
   a) **Ability to commit an insurer to a contract of insurance.**
   b) Authority to sign an application on behalf of a client.
   c) Right to submit applications for insurance to an insurer.
   d) Power to place an insurer on a risk with its oral consent.

23) Which of the following is not a "legal person" and cannot enter into a valid contract?
   a) **Sophie's Ski Shop.**
   b) Larry's Lumber Limited.
   c) Bette Bilmore Inc.
   d) Bette's Body Shop Limited.

24) Brokers obtain their authority from:
   a) Their clients.
   b) The government.
   c) The local broker's association.
   d) **Their agreements or contracts with the insurers they represent.**

25) Indemnification is best described as:
   a) The provision of security.
   b) The application of the law of averages.
   c) **Restitution of financial loss.**
   d) The provision of no-fault insurance.

26) A void contract is a contract:
   a) That has been cancelled.
   b) That could be nullified if one party changes his or her mind.
   c) **That never had any legal existence.**
   d) That has not yet been fulfilled.

27) Your client, Mr. Bert Butler, owns a commercially zoned building of which he is partners with Mr. Wen, Mr. Brog, and Ms. Grey. Together the owners purchased the building for $100,000. Mr. Butler owns 55% of the building and Ms. Grey owns the remainder. In the event of a total loss to the structure how much would each party receive?
   a) $33,333 because the amount is split evenly amongst the owners as they all has an insurable interest in the unit.
   b) Mr. Butler would be the only party to receive payment and he would be responsible to pay the other parties who have an insurable interest.
   c) **Regardless of the loss amount each party would be eligible to receive the portion of which they hold an insurable interest.**
   d) Mr. Butler, Ms. Grey, and Mr. Brog would each agree on an amount and settle the issue privately.

28) The insured's dining room furniture was badly damaged when a fire broke out. The claim was settled by paying an amount equal to the replacement cost minus physical depreciation. This illustrates the application of:
   a) Extended coverage.
   b) **Actual cash value.**
   c) Replacement cost.
   d) Optional Loss Settlement Clause.

29) Replacement Cost provides that:
   a) Damaged property is replaced without the application of co-insurance.
   b) Damaged property is replaced subject to depreciation.
   c) **No depreciation is applied to the settlement of a loss.**
   d) Damaged property is repaired or replaced with property of the same kind and quality at its original cost.

30) A Fire Policy states it will pay the lesser of three amounts in case of a claim. Which of the following does not enter in this calculation?
   a) The actual cash value of the property.
   b) **The original cost of the property.**
   c) The insured's interest in the property.
   d) The policy limit.

31) Which of the following does not enter into the calculation of the amount an insurer will pay for a loss?
   a) The actual cash value of the property.
   b) **The amount of the mortgage.**
   c) The insured's interest in the property.
   d) The amount of applicable insurance.

32) A peril is:
   a) The ~~fear~~ something will happen.
   b) **An event that causes a loss to occur.**
   c) ~~(a) & (b)~~.
   d) ~~Always~~ insured.

33) You are concerned because your client has informed you that there is no handrail on a long staircase up to his home and this leaves a potential for a bodily injury liability claim. You advise your client that this is a:
   a) ~~Speculative risk~~.
   b) ~~Moral hazard~~.
   c) ~~Pure risk~~.
   d) **Physical hazard.**

34) The term replacement cost means:
   a) The cost at the time the item was ~~originally purchased~~.
   b) **The cost to replace the item at the time of the loss.**
   c) The cost to replace the item at the time of the loss ~~less depreciation~~.
   d) The cost to buy a ~~higher end and better quality item~~.

35) A material fact is one which:
   a) ~~Increases the deductible on a risk~~.
   b) ~~Increases the possibility of a loss~~.
   c) Is a fact the insurer ~~should know without being told~~.
   d) **Could influence an underwriter in either accepting or rejecting a risk.**

36) Insurance coverage is effective:
   a) **12:01 a.m. standard time at the address of the insured.**
   b) 12:01 ~~p.m.~~ standard time at the place where the policy was issued.
   c) 12:01 ~~p.m.~~ local time at the address of the insured
   d) 12:0~~0~~ a.m. standard time at the address of the insured.

37) One factor which determines if a contract is enforceable at law is:
   a) Whether or not it is in ~~writing~~.
   b) Whether or not it is made ~~orally~~.
   c) The ~~value of the contract~~.
   d) **The legal capacity of the contracting parties.**

38) In a contract, consideration is:
   a) The ~~insurable interest~~.
   b) **The price.**
   c) The ~~signature~~ of the one accepting the contract.
   d) The ~~clause of the contract specifying the amount of insurance provided~~.

39) Utmost good faith:
   a) **Implies a high standard of honesty.**
   b) Is a requirement of all ~~legal~~ contracts.
   c) Is a ~~mystical faith in the goodness of people~~.
   d) Can ~~void an insurance policy~~.

40) Referring to subrogation, which of the following is correct?
   a) Subrogation vests in the ~~insured~~ on payment of the insured's claim.
   b) Subrogation ~~cannot~~ be instituted if someone else's negligence caused the insured's damages.
   c) Subrogation does ~~not~~ apply to contracts of indemnity.
   d) **Subrogation is a legal principle that upholds the principle of indemnity.**

RIBO Rules & Regulations (23)

1) When an insurer cancels your client's insurance policy, they must:
   a) Comply with the RIB Act.
   b) Send back the insured's premium by priority post.
   c) **Comply with the statutory conditions of the policy.**
   d) Give back the short rate premium.

2) Rules or agreements concerning the binding of insurance coverage by brokers are:
   a) Laid out in Ontario's Insurance Act.
   b) Set by RIBO and are uniform and apply to every insurance company and brokerage office.
   c) **Set and agreed upon between each insurance company and brokerage office.**
   d) Enforced by the Department of Insurance.

3) Which of the following statements is incorrect?
   a) In terms of a broker's integrity, a member shall discharge his/her duties to his/her clients, members of the public, fellow members, and insurers with integrity.
   b) With regard to competence, your duty to the client is to give competent guidance based on sufficient knowledge of the specific risks entailed.
   c) With regard to the advising of clients, a member shall be both candid and honest when providing advice.
   d) **Confidentiality means that under no circumstances are you permitted to divulge information to anyone other than your client.**

4) The "Acting Under Supervision" restriction on the registration certificate of a new broker means:
   a) That after an automatic and prescribed period of time, he/she may have this restriction removed.
   b) He/she may apply to have the supervision restriction removed as soon as enough money has been saved to open his or her own brokerage office.
   c) **The broker is restricted to working as an employee of and under the supervision of an already existing broker whose registration does not carry this restriction.**
   d) None of the above.

5) In Ontario, the RIB Act requires that premiums be deposited in a special trust account in an approved bank. In how many days must the broker be required to put premiums collected from clients into the trust account?
   a) 21 days.
   b) 7 days.
   c) 30 days.
   d) **3 days.**

6) How many days of notice must you provide to RIBO when there is change of information such as name or employer?
   a) 21 days.
   b) 15 days.
   c) **10 days.**
   d) 7 days.

7) In an insurance brokerage the principal broker is one who:
   a) Is responsible to RIBO for the actions of his employees who hold broker licenses.
   b) Is responsible for submitting position reports to RIBO.
   c) Is required to have 10 hours of continuing education per year.
   d) **All of the above.**

8) What is correct in regards to this statement: "No person shall act as an insurance broker unless the person is a registered insurance broker under the Insurance Act."
   a) That section has been repealed.
   b) **A person who is solely engaged in the performance of clerical or administrative duties in the office of his employer is not deemed to be a broker and as such does not require a broker's license.**
   c) That person is the designated individual.
   d) People employed with the company before the RIBO Act was enacted.

9) The RIB Act defines an insurance broker as one:
   a) **Who for compensation, commission, or other thing of value places the insurance of the public with insurance companies that have given them authorization to do so.**
   b) Who only sells life insurance.
   c) Sells insurance and real estate.
   d) None of the above.

10) When a new broker is issued a registration certificate restricted to "Acting Under Supervision," he or she may:
   a) Be the designated individual responsible to RIBO for insurance matters in the brokerage office.
   b) **Deal directly with the public with regard to soliciting, negotiating, procuring or the making of any contract of insurance on behalf of the insurer.**
   c) Establish and set up an insurance brokerage office, providing arrangements are made.
   d) Set up and arrange a trust account.

11) When information in the broker's latest filed application with RIBO becomes obsolete, the broker must:
   a) Report any changes to RIBO at the year-end.
   b) When moving to a new brokerage employer, ask the new firm to advise RIBO of this change in employer and let the office handle it.
   c) **File a notice of change with RIBO correcting or updating the information within ten days after the change takes place.**
   d) Telephone RIBO for advice as to what should be done.

12) In Ontario, an insurance agent is an individual who:
   a) For compensation, solicits, negotiates, or procures a contract of insurance on behalf of more than one insurer.
   b) Provides risk management services or consulting services or claims assistance to the public.
   c) **Solicits insurance solely on behalf of one insurer or affiliated group of insurers and the Facility Association, who is licensed as an agent under the Insurance Act.**
   d) Only sells life insurance.

13) When a broker places business with an unlicensed insurer:
   a) The Superintendent of Insurance has no authority over an unlicensed insurer's claims and payouts may be more difficult.
   b) It may only be done as a last resort when no Ontario licensed insurer agree to take on the risk.
   c) The client must be advised in writing that the only markets available are with unlicensed insurers, provide written consent that he is agreeable to placing coverage with an unlicensed insurer, and that he is aware of the risks.
   d) **All of the above.**

14) Which of the following statements is incorrect?
   a) Every member who is a sole proprietorship, partnership or corporation shall maintain and continue to maintain errors and omissions insurance in an amount of at least $3,000,000 in respect of any one occurrence.
   b) **The Insurance Act defines a broker as someone who solicits insurance on behalf of one insurer or affiliated group of insurers who have appointed him/her to act as their representative.**
   c) A member's conduct towards other members, members of the public, insurers and the corporation shall be characterized by courtesy and good faith.
   d) A member shall observe all relevant rules and laws regarding the preservation and safekeeping of property of the client entrusted to the member and, when there are no such rules or laws or the member is in doubt, the member must take the same care of such property as a careful and prudent person would take of the person's own property of like description.

15) Which of the following is incorrect? An Insurance broker:
   a) May act or aid in any manner in soliciting, negotiating, or procuring the making of any contract of insurance or reinsurance whether or not the person has agreements with insurers allowing the person to bind coverage and countersign insurance documents on behalf of insurers.
   b) **May not provide risk management services or claims assistance where required.**
   c) May provides consulting or advisory services with respect to insurance or reinsurance.
   d) May hold himself, herself, or itself out as an insurance consultant or examines, appraises, reviews, or evaluates any insurance policy, plan or program or makes recommendations or gives advice with regard to any of the above.

16) Which of the following is correct?
   a) **Insurance broker means any person who, for compensation, commission, or other thing of value, with respect to persons or property in Ontario, deals directly with the public.**
   b) Insurance broker means any person who for compensation, commission or other thing of value sells insurance for one company or affiliated group of companies.
   c) An insurance agent sells insurance for more than one insurer.
   d) Insurance brokers get their authority to sell insurance from the Superintendent of Insurance, who represents the Financial Services Regulatory Authority of Ontario.

17) An individual is qualified to be issued and hold a certificate of registration as a broker where:
   a) They have not attained the age of majority.
   b) **They are of good character and has demonstrated reasonable grounds for belief that he or she will carry on business in accordance with law, integrity, and honesty.**
   c) They have been convicted of any offence the nature of which renders him or her unfit to act as a broker.
   d) They have not satisfied the educational and experience requirements established by the Qualification and Registration Committee.

18) A member qualifies to be designated as a principal broker if the member:
   a) Is in default of paying any fee due under the Act or the by-laws of the Corporation.
   b) Is the subject of an outstanding order of the Discipline Committee.
   c) Is in a class of membership which restricts him or her to acting under supervision.
   d) **Directs and supervises the sole proprietorship, partnership, or corporation in acting as an insurance broker and has the authority to act in its name and on its behalf regarding applications or reports required under this Act or the by-laws of the Corporation.**

19) Every member acting on behalf of a member of the public in negotiating or placing contracts of insurance with one or more insurers shall provide a policy or a certificate of coverage to the member of the public for whom the member acts within twenty-one days after the placing of insurance certifying that the insurance has been placed, and at the same time shall send a copy of the policy or certificate of coverage to each of the insurers whose names appear on the policy or certificate. The certificate of coverage shall set out:
    a) The name and mailing address of the insurer.
    b) A description of the coverage provided.
    c) The full name of each insurer, or other person authorized to undertake the contract.
    d) **All of the above**

20) A member shall not act or assist in the placing of insurance with an unlicensed insurer unless:
    a) The member has informed the member of the public for whom the member acts of the following risks of entering into a contract of insurance with an insurer not licensed under the Insurance Act.
    b) That the insurer is not subject to regulation under the Insurance Act.
    c) Orderly payment of claims may be more difficult than with an insurer licensed under the Insurance Act.
    d) **All of the above**

21) Where a member proposes to charge a fee for service in addition to retaining a portion of the premium charge, the member, before placing the insurance or providing a service for which a fee is to be charged, shall disclose to the person whom the member proposes to charge:
    a) The amount of the fee and the portion of the premium retained.
    b) The total remuneration on the transaction.
    c) Interest charges with respect to overdue accounts or accounts paid on an instalment plan shall not be construed to be fees for services for the purposes of subsection.
    d) **All of the above.**

22) All members shall act as insurance brokers in accordance with the code of conduct. Which of the following is not part of that code?
    a) A member shall discharge the member's duties to clients, members of the public, fellow members, and insurers with integrity.
    b) A member owes a duty to the member's client to be competent to perform the services which the member undertakes on the client's behalf.
    c) A member shall hold in strict confidence all information acquired in the course of the professional relationship concerning the business and affairs of the member's client, and the member shall not divulge any such information unless authorized by the client to do so, required by law to do so, or required to do so in conducting negotiations with underwriters or insurers on behalf of the client.
    d) **A member who engages in another business or occupation concurrently with the practice of the member's vocation shall allow such outside interest to jeopardize the member's integrity, independence, or competence.**

23) Rebating is:
   a) The making of any payment, allowance or gift, or any offer to pay, allow or give, directly or indirectly, any money or thing of value as an inducement to any prospective insured to insure.
   b) **Directly or indirectly making or attempting to make an agreement as to the premium to be paid for a policy other than as set forth in the policy, or paying, allowing or giving, or offering or agreeing to pay, allow or give, a rebate of the whole or part of the premium stipulated by the policy or any other consideration or thing of value intended to be in the nature of a rebate of premium to any person insured or applying for insurance in respect of person or property in Ontario.**
   c) Coercing or proposing, directly or indirectly, to coerce a prospective buyer of insurance through the influence of a professional or business relationship or otherwise to give a preference that would not otherwise be given on the effecting of an insurance contract or coercing, inducing, or exercising undue influence in order to control, direct or secure insurance business.
   d) Holding oneself out or advertising by means of advertisements, cards, circulars, letterheads, signs, or other methods, or carrying on business in any other manner than the name in which the individual or the corporation or partnership of which the individual is the designated representative is registered.

Travel Health Insurance (41)

1) A change in prescribed medication:
   a) Does not affect coverage.
   b) **Is deemed to be a change in stability and medical claims as a result of that condition will be treated as an unstable, pre-existing condition.**
   c) Effects coverage only if new medication is prescribed.
   d) Does not disturb coverage if the change means certain medications have been discontinued.

2) Anyone who obtains emergency medical treatment or is hospitalized outside of Canada while covered by Travel Health Insurance must:
   a) **Within a specified number of days submit proof of claim to the insurer.**
   b) Pay all expenses and wait for reimbursement.
   c) Report the claim immediately to OHIP before they contact their insurer.
   d) Request that the doctor at the out of country location submit their account to OHIP on the insured's behalf.

3) Your client is driving from Ontario to Florida for vacation. Would you advise your client to purchase Travel Health Insurance?
   a) No, if he is in an accident his car insurance will pay.
   b) **Yes, OHIP will not cover out of province ambulance, semi-private or private rooms, return of vehicle, return of body, cremation, or burial at place of death.**
   c) You can't buy Travel Health Insurance for out of province travel.
   d) None of the above.

4) It is necessary for visitors to Canada to take out Travel Health Insurance:
   a) Only if they plan to be covered for childbirth in Canada.
   b) Only if they have a pre-existing medical condition that is unstable.
   c) **Because medical coverage is costly in Canada and the visitor is not covered by GHIP.**
   d) Because their luggage may get lost on the way to Canada.

5) Which of the following does not make up part of the definition of an "unstable" medical condition?
   a) A new symptom develops for a condition, or existing symptoms become worse.
   b) **It is a new condition that develops after the insured has departed on the trip.**
   c) A physician prescribes or recommends a change in how often medication is taken.
   d) It requires admission to a hospital.

6) Underwriting of a Travel Health Insurance policy becomes part of the claims settlement with many travel providers. Which of the following would become part of the claims investigation to determine if the policy would provide coverage for a pre-existing medical condition?
   a) Was the condition stable?
   b) Was the insured on medication?
   c) Was there any change in dosage or usage of the medication?
   d) **All of the above.**

7) A pre-existing medical condition is defined as:
   a) A condition the applicant was born with.
   b) **A medical condition which existed prior to the effective or departure date.**
   c) A medical condition which is stable and for which any change in medication was a decrease.
   d) A condition that affects only the cardiac and respiratory systems.

8) A client calls in for Travel Health Insurance. He has a heart condition. What section of the policy would you want to review very carefully with him?
   a) The premium.
   b) The terrorism exclusion.
   c) **The pre-existing conditions exclusion.**
   d) Trip cancellation coverage.

9) The following is an example of a “common carrier”.
   a) Your friend driving you to the airport.
   b) Driving yourself to Arizona.
   c) **The Air Canada Flight you have booked to fly to Italy.**
   d) None of the above.

10) The effective date is deemed to be:
   a) For a Top-Up/Extension the date immediately following the termination date of the applicants existing Travel Health Insurance coverage.
   b) For a Single Trip Daily Plan, the date travel begins as set out as the effective date of the policy provided the application has been received and the premium has been paid.
   c) For a Frequent Traveler Plan, the date on the insured’s confirmation letter when the application and required premium are received by the company or its representative.
   d) **All of the above.**

11) Travel Health Insurance defines “travel companion” as:
   a) One who you met at dinner and who has the room across the hall from you.
   b) **Any person, up to three other persons, who are sharing accommodation and/or transportation with the insured.**
   c) A stranger who sat beside you during the train trip through Europe.
   d) None of the above.

12) Who would fall within the definition of a "snowbird?"
   a) Anyone from Canada vacationing in Florida.
   b) **Anyone over 55 who spends more than 31 nights outside of Canada.**
   c) Visitors to Canada who visit in the winter.
   d) None of the above.

13) What are insurers doing to try to help reduce the cost of Travel Health Insurance?
   a) They are offering policies with a choice of exclusions.
   b) **They are offering deductibles ranging from $100 to $25,000.**
   c) Nothing, they have in fact hiked the premium up.
   d) They are rating the safety of your travel destination.

14) My husband and I are on vacation in Myrtle Beach, South Carolina with our two year old daughter. I sustain "sun poisoning" and have to be hospitalized for most of the week. My husband and daughter continue to stay at the hotel. One day, my husband hires someone to care for our daughter while he takes a break and goes golfing. Can he have this covered by our Travel Health Insurance plan?
   a) Yes, it is covered under the Child Care Attendant coverage.
   b) **No, my husband has not suffered any sickness or injury and is physically fit to look after our daughter. The policy would pay if I was traveling alone and was hospitalized and had to hire someone to care for my daughter, or if both my husband and I were hospitalized.**
   c) No, it would only be covered if my husband had been hospitalized.
   d) There is no coverage at all afforded by the travel policy for Child Care Attendant.

15) I have booked a flight to Las Vegas, made a reservation at a fancy hotel, and paid $250 for a concert ticket. I have purchased both Trip-Cancellation and Trip-Interruption. What will not be covered?
   a) **If the artist gets ill and cancels the show once I am in Vegas, I will be reimbursed the cost of the show ticket.**
   b) If I fall prior to the trip and am hospitalized and unable to travel, I will be reimbursed the cost of the flight, the cost of the show, and any hotel charges I may be assessed.
   c) If I get food poisoning in Vegas and fly home the day before the concert, I will be reimbursed only the non-refundable portion of my prepaid accommodation and for the extra cost to change the return ticket to a one-way economy fare.
   d) (b) & (c).

16) I am on vacation in Hawaii. I am six months pregnant. One evening after a busy day of sightseeing, I complain of headaches and am hospitalized. My health rapidly declines. To save both myself and the baby, a doctor performs an emergency C-section. I am hospitalized for weeks, and my premature son survives for three days before passing away. What, if anything, would be covered?
   a) Medical expenses for both me and my baby.
   b) **The cost to keep my husband there after our scheduled departure date.**
   c) The cost to have my son cremated and his ashes put in an urn so he could be brought home for burial.
   d) None of the above.

17) Bill is a newspaper photographer on assignment in a foreign country where there is a war. He is in a vehicle that drives over a land mine. He is badly injured and has to be flown to Germany for medical aid. Will his travel insurance policy cover him?
   a) Yes, driving over a land mine would be covered.
   b) **No, his injury is a result of war. War is an exclusion.**
   c) Medical treatment is never covered in a foreign country.
   d) None of the above.

18) My husband is a licensed pilot who works for a major airline. The airport allows him to use a small two-seater commercial aircraft to fly us to Florida. Upon landing, the plane's landing gear fails, and we crash. Both my husband and I are badly injured. Will we both be covered by my Travel Health Insurance policy?
   a) Yes, all expenses would be paid.
   b) No, any claim involving air travel is excluded.
   c) Yes, but only if the emergency assistance hotline is called before we are hospitalized.
   d) **You will be covered. But, your husband, the pilot, will not be covered under your policy as he would be covered under a commercial airline policy.**

19) Can the coverage term of a Travel Health Insurance policy be extended?
   a) No, under no condition may coverage be extended.
   b) Yes, a policy may be extended while the insured is out of the country upon the insured's request provided there has not been a change in medical condition and the insurer allows it.
   c) The policy provides for an automatic extension of up to 72 hours at no extra premium if extreme weather causes delay of departure.
   d) **(b) & (c).**

20) Your client was on vacation in San Francisco. He stayed in an elegant Edwardian Hotel. One evening, on the way to his room on the fourth floor, the elevator cable snapped, and the elevator fell to the basement. He was severely hurt and required several weeks in a local hospital before returning home. The travel insurer paid out more than $150,000. Do they have recourse to go after the hotel?
   a) No, they do not.
   b) **Yes, they have the right to subrogate against the hotel as they were negligent in elevator maintenance.**
   c) Yes, but only because the hotel was over 100 years old.
   d) None of the above.

21) Why is it important to get an insured's date of birth on the Travel Health Insurance policy?
   a) Determines the rates to be used.
   b) Often times the age determines the stability time for a pre-existing medical conditions.
   c) The Visitors to Canada Insurance policy covers only from 15 days of age to 86 years of age.
   d) **All of the above.**

22) Your client, originally an Ontario resident, has lived and worked in Florida for the past twenty-five years. She is returning to Ontario to retire and plans to maintain her principle residence here at a converted cottage on an island. What coverage would you sell her?
   a) An Expatriate Insurance policy.
   b) A Frequent Traveler Plan.
   c) **A Visitors to Canada Insurance policy to cover until she is meets the OHIP residency requirements.**
   d) You can't sell her a policy, she must have GHIP in order to be able to buy Travel Health Insurance.

23) Why should visitors to Canada purchase Travel Health Insurance?
   a) Visitors to Canada are not covered by GHIP.
   b) Medical costs to people not covered by GHIP can be very costly.
   c) New immigrants to Canada have a waiting period for GHIP to start.
   d) **All of the above.**

24) Which of the following would not be covered under Emergency Medical coverage?
   a) Physician charges in or out of a foreign hospital.
   b) **Cosmetic surgery the insured travelled to Mexico to obtain.**
   c) Tests ordered by a European doctor to diagnose or find out more about the condition.
   d) Rental or purchase of crutches after falling on a narrow sidewalk in Italy.

25) Your insured has flown into Nova Scotia on Saturday morning to attend a friend's wedding later that afternoon. Her baggage does not arrive with her, and she has to rush to purchase makeup, an outfit, and shoes to wear to the wedding. Her purchases came to $450. Her baggage arrived the next day on the flight she was returning back to Ontario on. What section of the travel policy will provide coverage?
   a) Trip Interruption.
   b) Flight Accident.
   c) **Baggage.**
   d) There is no coverage for this type of loss.

26) Your client calls and informs you that his job's head office has been relocated to Chicago, Illinois. He is required to attend meetings in-person once a week. What type of plan would you recommend for him?
   a) Expatriate Insurance.
   b) Snowbird coverage.
   c) **Frequent Traveler Plan.**
   d) Visitors to Canada Insurance.

27) Can a Travel Health Insurance policy be cancelled, and a refund obtained?
   a) Yes, if the insured returns home before the scheduled return date and has not had a claim.
   b) No, cancellation of a Travel Health Insurance policy is not possible.
   c) Yes, if the insured wants to cancel because they are unable to travel for medical reasons.
   d) **(a) & (c).**

28) Your client's son is traveling to Arizona to go rock climbing for spring break. What section of the policy should you check very carefully before selling a policy?
   a) The premium, students have to watch their money.
   b) **The sporting exclusion to see if rock climbing is one of the activities excluded.**
   c) The pre-existing conditions exclusion.
   d) None of the above.

29) Which is not an exclusion under the Emergency Medical section?
   a) Any medical conditions if the information on the application is inaccurate or untrue.
   b) Any treatment that is not for a medical emergency.
   c) **Any medical emergencies which occur in Florida, due to the high cost of medical care there.**
   d) An act of war of terrorism.

30) Jack is booked on a 10-day Caribbean cruise, sailing out of Tortuga. Upon landing, he is told the creditors of the cruise line have put a hold on further funding and the ship will not be able to sail. Jack is stranded there. He chooses to stay for the 10 days at a resort, at an additional cost to him of $3,000. Is the cost of the lost cruise covered by Trip Cancellation?
   a) Yes, that is what Trip Cancellation is for.
   b) **No, financial failure of the travel provider is excluded under this policy.**
   c) There is special coverage that may be purchased to cover this kind of loss.
   d) None of the above.

31) William has purchased a cruise package for him and his wife to celebrate their 10th anniversary. The cruise is booked seven months in advance. A few weeks after booking, it is determined that his wife is pregnant, and the baby is due a month after the cruise. Trip Cancellation coverage:
   a) Always excludes anything to do with pregnancy.
   b) Is not required; they can still take the cruise.
   c) **The policy will reimburse the insured for any money lost for cancellation of the trip if the insured or spouse becomes pregnant after the trip is booked and the departure date falls in the eight weeks before the expected delivery date.**
   d) Will only pay for 50% of the money they lost for cancelling the cruise because cancellation was a result of a pregnancy.

32) Hector purchased a travel health insurance plan for a Mediterranean cruise. After landing, the shuttle was in an accident on the way to the ship port. Hector missed the departure of the ship and had to pay for another flight to the next port. What coverage, if any, will cover the additional costs?
   a) It is not covered.
   b) Emergency Medical coverage will pay for cost of the flight to the next port since it was the result of a bus accident.
   c) **Trip Interruption coverage will pay the additional cost of the flight to catch up with the cruise ship after the shuttle accident interrupted Hector's original vacation plans.**
   d) That kind of loss is covered under Baggage and coverage.

33) An insured is travelling to be at the bedside of his dying brother. The day before departure, the brother dies. The insured cancels his trip as the burial will be in the town where he lives. Is this type of loss covered under Trip Cancellation?
   a) **No, it is excluded from the coverage.**
   b) Yes, it is covered.
   c) It is covered under certain conditions specified in the policy.
   d) It is covered under Emergency Medical coverage.

34) Which of the following is not a common exclusion to the Visitors to Canada Insurance policy?
   a) Any sickness occurring within the first 48 hours of the policy effective date.
   b) Any medical conditions having to do with pregnancy.
   c) Any losses resulting from terrorism.
   d) **Return of the Insured's deceased body back to homeland.**

35) Your insured's two pieces of luggage went missing on a trip to Australia. Upon landing in Sydney, his baggage, including his golf clubs, were never found. He put in a claim to the airline for $900 worth of belongings in his suitcase and $1,500 for his golf clubs. The airline reimbursed a maximum of $500. The client also has a Comprehensive Tenant Policy. Will the baggage coverage on this Travel Health Insurance policy pay the remaining balance?
   a) Yes, the baggage coverage will pay the full remaining balance.
   b) **Baggage coverage is an excess coverage that will pay after all other available insurance policies has been depleted. Since the client has a Tenant Policy, it would be primary. But he would be able to submit a claim for any amount not covered under his Tenant Policy.**
   c) No, there is no coverage for mysterious disappearance under the baggage coverage.
   d) No, since he was able to collect from the airline, this policy will not respond.

36) While on the tarmac of the airport waiting for luggage to be unloaded, an insured walks into the path of an aircraft and loses his arm to the propeller. Is this type of accident covered under Flight Accident coverage?
   a) **Yes, as it happened while at an airport to which the arrival had been covered.**
   b) No, Flight Accident only covers if the plane crashes.
   c) Emergency Medical will cover this but not Flight Accident.
   d) None of the above.

37) Expatriates, former residents of Ontario who are travelling, living, or working out of the country for extended periods of time need Expatriate Insurance to:
   a) **Replace OHIP as primary health insurance coverage because they have been out of the country longer than OHIP allows, and such coverage has ceased.**
   b) Repatriate or pay for local burial if the insured dies while out of country.
   c) Provide for Medical Evacuation is they become ill and must return home for treatment.
   d) All of the above.

38) It is common for travel health insurance providers to include a warning in the policy wording that Emergency Medical claims must be reported within a specified time of hospitalization or treatment. Failure to report an emergency without reasonable cause will result in:
   a) No coverage.
   b) **The insured becomes responsible for a certain portion of the loss himself.**
   c) The policy will cover everything except Emergency Medical coverage.
   d) None of the above.

39) Which of the following must be submitted to the Travel Health Insurance provider with the claim forms for Emergency Medical coverage?
   a) Original itemized billings and receipts for all expenses.
   b) Copy of OHIP card.
   c) Medical forms completed by out of country physician.
   d) **All of the above.**

40) The primary purpose of the hot line number is:
   a) To have the Claims Administrator notify relatives.
   b) **To provide immediate management of required services.**
   c) To provide consultation with insured doctors.
   d) To notify the insurance company of an impending claim.

41) Your client is a student who is going to Miami for a week and plans to go scuba diving. Once this is disclosed, you would need to advise your client of the following:
   a) **Sporting activities exclusions.**
   b) Pre-existing conditions exclusions.
   c) Limitation and exclusions.
   d) No maximum age limit.

Automobile Insurance (126)

(MATERIAL)

1) The "Threshold":
   a) **Is a definition of the conditions under which an injured party can sue another motorist for pain and suffering in Ontario.**
   b) Is the maximum amount which an injured person may claim from the motorist responsible for their injury.
   c) Has nothing to do with settlement of an automobile insurance claim.
   d) Applies to automobile insurance in all provinces and territories.

2) An Ontario motorist injured in an automobile accident with another Ontario motorist, may sue that motorist in which of the following situations?
   a) **When their injuries fall within the definitions of "Threshold".**
   b) For pain and suffering without limitations.
   c) For vehicular damage.
   d) For damage to contents of the vehicle.

3) With respect to Ontario automobile insurance what is "Threshold"?
   a) **Defines the types of injuries suffered in an automobile accident, for which lawsuits are permitted for non-economic loss (pain and suffering).**
   b) It defines the financial responsibility of the insurance company.
   c) It is the maximum amount of insurance a driver may purchase.
   d) It is a no-fault benefit.

4) Which of the following is true as it relates to automobile insurance in Ontario?
   a) **Mandatory coverage required in Ontario is: Liability, Accident Benefits, Uninsured Automobile Coverage and Direct Compensation Property Damage.**
   b) The OAP 1 covers you anywhere in the world.
   c) Ontario and Quebec have government automobile insurance.
   d) Automobile insurance is compulsory so it may not be cancelled.

5) The OAP 1 policy limit required to satisfy Ontario's Financial Responsibility Law is:
   a) $10,000.
   b) $50,000.
   c) $75,000.
   d) **$200,000.**

6) Minimum Liability limits:
   a) Are compulsory in some provinces.
   b) Are not compulsory because it is difficult to enforce this rule.
   c) Of $1,000,000 is required in all provinces and territories.
   d) **Are compulsory in all provinces and territories of Canada.**

7) Which of the following is not an objective of no-fault insurance?
   a) Allowing claimants to recover their not-at-fault vehicular damages from their own insurer.
   b) Reducing subrogation and litigation costs.
   c) **Increasing the cost of legal fees and court costs.**
   d) Prohibiting liability lawsuits unless certain "Threshold" criteria are met.

8) The basic concept of no-fault insurance is:
   a) To provide compensation for bodily injury without regard to fault.
   b) To provide compensation for property damage without regard to fault.
   c) **To provide greatly increased no-fault Accident Benefits.**
   d) To increase the length and cost of litigation before any claims are paid.

9) Who controls automobile policy forms and endorsements?
   a) Insurers.
   b) **Provincial governments.**
   c) Brokers.
   d) Federal Insurance Department.

10) Your client asks you to suspend all coverage from his only vehicle because he is going south for five months during the winter. As a careful broker you would:
   a) **Suggest he suspend coverage using the approved OPCF16: Suspension of Coverage which maintains the portable coverage.**
   b) Cancel his policy.
   c) Have Collision and Comprehensive coverage deleted from his policy and leave the rest of the coverage intact.
   d) Advise him to leave all coverage on.

11) Which one of the following statements about motorized recreational vehicles insured under automobile policies is true?
   a) **A motorized recreational vehicle insured under an automobile policy needs an endorsement to waive the statutory condition requirement relating to qualification and age of operators.**
   b) A motorized recreational vehicle insured under an automobile policy can only be used on public highways.
   c) All-terrain vehicles (ATV's) cannot be insured under an automobile policy.
   d) A Sea-Doo is considered a motorized recreational vehicle and can be completely covered under an automobile policy.

12) An OAP 4: Garage Automobile Policy does not cover which of the following?
   a) Damage to customer's automobiles.
   b) Liability arising out of the use of a non-owned automobile.
   c) Collision damage to a non-owned automobiles.
   d) **Injuries to a customer who slips into an oil pit.**

13) OPCF 44R: Family Protection Coverage will:
   a) Pay for injuries to the insured's passengers who do not have sufficient insurance.
   b) **Protect the insured and any eligible claimants in the automobile from another party whose automobile liability insurance is insufficient to cover their claims for damages.**
   c) Protect the insured in another jurisdiction where the insured's limits are insufficient to meet the jurisdiction's requirements.
   d) Pay for injuries suffered by the insured or his passengers as well as other property in the vehicle at the time of the accident.

14) The main purpose of OPCF 44R: Family Protection Coverage is to provide coverage:
   a) For all passengers of the insured automobile.
   b) When the insured and his/her spouse are occupants of a non-owned automobile.
   c) **For an insured person and his/her dependent family when a third party is at fault but is uninsured or inadequately insured to cover the insured's claims.**
   d) To cover any family member who may be injured while walking or riding a bicycle.

15) Under an OAP 2: Ontario Driver's Policy:
   a) The insured must be a corporation.
   b) **Would be the primary policy for an excluded driver to operate a vehicle they would normally be excluded on under the OAP1.**
   c) The insured must be over 25 years of age.
   d) There is no such thing as a Driver's Policy.

16) An OPCF 27: Legal Liability for Damage to Non-Owned Vehicle was added to your client's OAP 1. In which situations would the endorsement respond?
   a) All Perils coverage on a newly acquired vehicle the insured just purchased.
   b) **Physical damage to a rental vehicle while the insured was on vacation.**
   c) Liability coverage for any other non-owned vehicles the insured drives.
   d) To cover a rental vehicle the insured had to rent while his vehicle was in the garage for repairs.

17) The Coverage for Transportation Replacement (OPCF 20) provides coverage for which of the following?
   a) It will pay 80% of all expenses incurred for the rental of a substitute vehicle.
   b) All expenses incurred for the rental of a substitute automobile due to loss or damage to the insured's automobile no matter how it was caused.
   c) It provides a replacement automobile for a maximum of five days.
   d) **Reasonable expenses incurred for rental of a substitute automobile or alternative transportation including taxicabs or public transportation.**

18) OPCF 23A: Lienholder Protection guarantees:
   a) If a claim results in a cash settlement, the money will be paid out jointly to the insured and lienholder.
   b) That if any coverage under Section 7 is cancelled, the lienholder will be advised 15 days prior to cancellation of coverage.
   c) That the obligation to notify the lienholder of cancellation of coverage expires on the expiry date of the endorsement.
   d) **All of the above.**

19) When a vehicle is being used to carry passengers for a fee, insurance would:
   a) **Apply only if an additional endorsement, OPCF 6A: Permission to Carry Paying Passengers, is applied for an additional premium.**
   b) Never cover it.
   c) Always cover it.
   d) Only cover damage to the vehicle.

20) The insured has an OAP 1 with All Perils physical damage coverage on his Jeep. In which of the following instances would he require a special OPCF to provide coverage?
   a) The insured drives a courtesy vehicle from the dealership while his car is in the shop for repairs.
   b) The Jeep is loaned to his brother who is moving.
   c) **The Jeep is used to carry explosives to a construction site.**
   d) The insured is taking" road coverage" off his new Jeep for the winter. He'll drive his other vehicle during the winter.

21) Your insured has an all-terrain vehicle to insure. What special endorsement needs to be added to the policy to properly cover this?
   a) OPCF 16: Suspension of Coverage.
   b) **OPCF 32: Use of Recreational Vehicles by Unlicensed Operators.**
   c) OPCF 20: Coverage for Transportation Replacement.
   d) SPF 6: Standard Non-Owned Automobile Policy.

22) Which one of the following statements relating to the suspension and reinstatement of coverage endorsements (OPCF 16: Suspension of Coverage and OPCF 17: Reinstatement of Coverage) is false?
   a) **The insured can request the insurer to suspend coverage for an indefinite period of time.**
   b) This endorsement suspends coverage in relation to the use or operation of the described automobile.
   c) The insured is covered for liability under the suspended policy in the event he/she is driving a non-owned uninsured car.
   d) The suspended policy maintains coverage for Accident Benefits in the event that the named insured is injured as an occupant in a non-owned automobile.

23) Which of the following statements is true?
   a) Loss of earning capacity is a non-economic loss.
   b) **Relatives of an accident victim may sue an at-fault driver for loss of care, guidance, and companionship under the Family Law Reform Act, but their damages are subject to a $19,778.27 deductible.**
   c) Lawsuits for pain and suffering are permitted in any case where medical expenses exceeds $50,000.
   d) The threshold is defined as death, disfigurement, and impairment of bodily movements.

24) The Facility Association:
   a) Is an incorporated, for profit association of insurers.
   b) **Ensures that automobile insurance is available to every licensed driver.**
   c) Is a government department providing high risk insurance coverage.
   d) Is none of the above.

25) Which of the following is correct regarding OPCF 48: Added Coverage to Offset Tort Deductibles:
   a) Reduces the tort deductible entirely on all judgments under $131,854.01.
   b) **If the insured files a $100,000 claim under the Family Law Act for a pain and suffering judgment, the endorsement reduces the tort deductible by $10,000. The tort deductible can also be reduced by $5,000 for families who claim a pain and suffering judgment under $65,926.46.**
   c) Can only be used in conjunction with the OPCF 44: Family Protection Coverage.
   d) None of the above.

26) Recovery from the responsible party for pain and suffering by the injured person on judgements under $131,854.01 is subject to a deductible of:
   a) $10,000 per person.
   b) $39,556.53 per occurrence.
   c) **$39,556.53 per person.**
   d) $10,000 per occurrence.

27) The Use of Recreational Vehicle by Unlicensed Operator provides coverage for which of the following:
   a) **Snowmobiles, trail bikes, and all-terrain vehicles.**
   b) Motor-scooters, snowmobiles, and motorboats.
   c) Trail bikes, motorcycles, and motor-scooters.
   d) Motorcycles, snowmobiles, and trail bikes.

28) Peter is 100% at fault. He has $5,000 damage to his car, $500 damage to contents of his car, and a $1,200 car rental bill. He carries All Perils $1,000 deductible and has the OPCF 20: Transportation Replacement covering up to $1,500 in car rental costs. How will his claim be settled?
   a) He was fully at fault so he will not receive any compensation for his damages.
   b) **He'll get $5,000 - $1,000 deductible under All Perils to repair his car. He'll get $1,200 under his OPCF 20: Transportation Replacement for the cost of his car rental. He'll not be able to recover the $500 damage to the contents of his vehicle.**
   c) He'll get $6,700 from his DCPD.
   d) He'll get $5,000 - $1,000 deductible under All Perils, $500 for contents under his DCPD and $1,500 for his car rental under DCPD.

29) If you are hit by an uninsured driver and you sustain "threshold" injuries, you will be able to collect $200,000 from your Uninsured Automobile coverage. Is there any OPCF that will provide coverage to top-up the amount of money you receive to further cover the amount you have been awarded for your injuries?
   a) OPCF 48: Decreasing Tort Deductible.
   b) OPCF 6A: Carrying Passengers for Compensation.
   c) **OPCF 44R: Family Protection Coverage.**
   d) OPCF 16: Suspension of Coverage.

30) Your client purchases a new 2024 Tesla Model Y for his spouse to drive. The vehicle is registered in the name of your client, but he will be financing the vehicle. How will the policy be titled?
   a) **In the client's name.**
   b) In the name of the spouse as she is the primary driver.
   c) In the name of the client and the spouse, as they both have an interest in the vehicle.
   d) In the name of the financing company.

31) You are volunteering with the Cancer Society and get reimbursed mileage and a paid lunch on the days you drive patients back and forth from treatment. Do you need any special coverage/OPCF to ensure you are covered while carrying patients?
   a) Yes, you need the OPCF 6A: Carrying Passengers for Compensation.
   b) Yes, you need the OPCF 44: Family Protection Coverage.
   c) **No, volunteer driving is covered without a need to purchase any special coverage.**
   d) None of the above.

32) OPCF 27, Liability for Damage to Non-Owned Automobiles and Other Coverages when Insured Persons Drive, Rent or Lease Other Automobiles:
   a) Section 7 coverage is extended to protect an insured against liability imposed by law for loss or damage arising from the care, custody, and control of any non-owned vehicle.
   b) Covers the insured when he drives a friend's vehicle that does not carry physical damage coverage.
   c) Covers the insured when he rents a vehicle while on vacation and does not choose to pay the extra costs of purchasing Collision and Comprehensive coverage on the car rental vehicle.
   d) **All of the above.**

33) The OPCF 16: Suspension of Coverage endorsement:
   a) **Suspends coverage for the use or operation of the described vehicle leaving the portable coverages provided under Liability, Accident Benefits, Uninsured Automobile and Direct Compensation--Property Damage Coverage.**
   b) Is available for a minimum of 60 days.
   c) Allows you to drive your own vehicle occasionally.
   d) Requires that all vehicles on a policy be suspended when this endorsement is used.

34) The OPCF 28A: Excluded Driver endorsement:
   a) Eliminates Collision and All Perils when a driver is excluded.
   b) **Eliminates all coverage except partial Accident Benefits while an excluded driver is driving.**
   c) Eliminates Liability but maintains All Perils or Collision when an excluded driver is driving.
   d) All of the above.

35) When the third party is uninsured and is legally liable for bodily injury to the insured, coverage for the insured's shortfall can be provided by the:
   a) Passenger's risk clause.
   b) Amount paid clause.
   c) Excluding, reducing, or increasing coverage of named persons endorsement.
   d) **Family Protection Coverage.**

36) Which one of the following statements is incorrect?
   a) A signed application is not required before an auto policy is issued.
   b) An auto application may be signed after the policy is issued.
   c) **There is no standard as to what you may or may not be asked on an auto application.**
   d) The application contains underwriting and rating information.

37) Under an SPF 6: Standard Non-Owned Automobile Policy, which of the following would be covered?
   a) Company fleet vehicle.
   b) Car being driven by named insured.
   c) Driven by spouse of named insured.
   d) **An employee using their own vehicle to perform duties in the course of the employer's business.**

38) An employer may be held responsible for damages caused by an employee who uses his own vehicle in the commission of the employer's business. The employer can effect coverage against this eventually by purchasing a:
   a) OAP 1: Ontario Automobile Policy Owner's Policy.
   b) OAP 2: Ontario Driver's Policy.
   c) **SPF 6: Standard Non-Owned Automobile Policy**
   d) Business use endorsement which is attached to the employee's automobile insurance policy.

39) Your client contacts calls to advise you that her 16 year old son has just passed his G2 test and has decided to purchase a new vehicle. She tells you that her son registered it under his own name. How should the car be properly protected?
   a) Under an OAP 1 written in the name of the mom.
   b) Under an OAP 1 written in the name of the mom with an OPCF 32 which extends coverage to under aged drivers.
   c) Under an OAP 2: Ontario Driver's Policy.
   d) **Under an OAP 1 written in the son's name.**

SECTION 1 (9)

1) The Automobile policy may be terminated by:
   a) The insurer for any reason after 60 days.
   b) **The insurer for the first two non-payments by registered letter giving 30 days' notice by registered letter or 10 days if hand delivered.**
   c) Either party at any time.
   d) The insured giving seven (7) days' notice registered letter.

2) Under "Payment of Claims," the insurer must make the required payment within:
   a) 12 months after receipt of the proof of loss form.
   b) 90 days after receipt of the proof of loss form.
   c) **60 days after receipt of the proof of loss form.**
   d) 30 days after receipt of the proof of loss form.

3) Who sets the rules for termination of the automobile policy?
   a) The insured.
   b) **The Financial Services Regulatory Authority of Ontario, via the Insurance Act**.
   c) The insurer.
   d) The broker who writes the policy.

4) Who may not give notice and proof of a claim under the automobile policy?
   a) Someone acting on the insured's behalf with insured's consent.
   b) **Anyone else with no explanation required.**
   c) An agent of the insurer.
   d) Spouse of the insured.

5) Which of the following is false with respect to cancellation of an automobile policy?
   a) The insurer may terminate the policy by giving 15 days written notice by registered mail for any reason other than non-payment.
   b) The insured may terminate the policy at any time.
   c) **The insurer may not keep a minimum retained premium if the insured cancels the policy.**
   d) The refund of premium must accompany notice of cancellation unless premium is subject to adjustment.

6) Which statement is incorrect?
   a) The insurer is required to provide 15 days written notice by registered mail to a client when the insurer terminates a contract of insurance for other than non-payment.
   b) **The insurer is required to provide 10 day written notice if personally delivered to a client when the insurer terminates a contract of insurance for other than nonpayment.**
   c) The Insured can terminate coverage at any time subject to a premium return on a short rate basis.
   d) None of the above.

7) Which of the following is not an excluded use under the OAP 1?
   a) **Driving while under the influence of intoxicating substances.**
   b) Renting or leasing to another.
   c) Carrying explosives or radioactive material.
   d) Carrying passengers for compensation.

8) The insured is prohibited from driving or operating an automobile in all of the following circumstances except one. Pick the exception.
   a) While license to drive or operate an automobile is suspended.
   b) While the insured is not authorized by law or qualified to drive.
   c) While under the age of 16.
   d) **While transporting clients or customers proposing to do business with the insured.**

9) There are a number of provisions, definitions, and exclusions that apply to the entire automobile policy. All of the following statements are true except one. Pick the exception.
   a) Coverage is restricted to Canada, USA or upon a vessel plying between the ports of these countries.
   b) **Any person who uses the automobile without the owner's consent is not entitled to Accident Benefits Coverage at all.**
   c) Where the insured purchases a new automobile to replace the insured automobile, he is automatically covered for a period of 14 days.
   d) The insured automobile is not permitted to be leased or rented to others without the specific consent of the insurer.

SECTION 2 (8)

1) You own two automobiles, both insured with the same insurer. The 2010 automobile does not have Collision coverage while the 2013 automobile does. Which one of the following statements is true about the coverage provided by your insurer under the Newly Acquired Automobile definition when you replace the 2010 automobile?
   a) The replacement automobile will have the same coverage as the described automobile it replaces.
   b) The replacement automobile will not have Collision coverage until the insurer is notified and this optional coverage is purchased.
   c) Once notified, the insurer will update the policy and charge a premium on the replacement automobile from the date of purchase.
   d) **All of the above.**

2) Which of the following statements is true?
   a) **A newly acquired automobile is automatically insured for a specified time period if it replaces another insured automobile.**
   b) It is impossible to insure more than one automobile on the same policy.
   c) An automobile with a trailer attached is considered as two vehicles for the purposes of Accident Benefits limits.
   d) No coverage applies to Temporary Substitute Automobiles under the Liability coverage.

3) Other automobiles that are rented or leased are covered for Liability:
   a) **For a period of not more than 30 days when rented by insured or spouse who lives with them.**
   b) There is no coverage. Insured must purchase the Liability from the car rental company.
   c) Are covered for 60 days only.
   d) None of the above.

4) Your insured's vehicle is in the shop being repaired and he/she would like to borrow their friend Bill's car. What would you advise?
   a) **Provided Bill gives consent, the insurance Bill has on his vehicle is primary. However, should there be a lack of coverage under Bill's policy, the insured's policy will respond accordingly to top up Bill's coverage to the limits the insured carries.**
   b) Tell the insured to call the friend's insurance company.
   c) Tell the insured he must purchase OPCF 27: Liability for Damage to Non-Owned Automobile(s) to protect himself.
   d) The OAP 1 does not allow people to use other people's vehicles.

5) The OAP 1 definition of "the automobile" insofar as liability is concerned, does not include:
   a) A temporary substitute vehicle.
   b) A non-owned vehicle.
   c) **A six (6) ton (5443 kg) delivery van borrowed from his employer and used regularly.**
   d) A newly acquired automobile reported to the insurer within 14 days.

6) Who is covered to drive another vehicle other than the described automobile?
   a) All drivers who have been listed on the policy.
   b) Anyone with consent of the insured.
   c) **Insured and his or her spouse who lives in the same household.**
   d) All of the above.

7) What is the main factor that makes a borrowed/rented vehicle a temporary substitute automobile?
   a) A new vehicle has just been purchased.
   b) **The described automobile is out of service.**
   c) It covers garage personnel for damage they do to the vehicle/
   d) Your friend had an accident when he borrowed your truck to move furniture.

8) What coverage is available on a newly acquired automobile that is being substituted for one it replaces?
   a) **The same coverage as the vehicle it replaces.**
   b) Nothing, you have to notify your insurance broker and have the change made.
   c) Only the compulsory coverages.
   d) None of the above.

SECTION 3 (18)

1) Which of the following is covered under the OAP 1?
   a) A person using a vehicle without consent of the owner.
   b) The mechanic who took the vehicle out for a test drive when repairs were finished.
   c) **A person borrowing their brother's vehicle with consent.**
   d) A vehicle driven by an excluded driver.

2) Under Liability coverage, the insured is entitled to:
   a) Select his own counsel if sued.
   b) Claim for medical expenses if he injures himself while on vacation in Florida.
   c) Claim for medical expenses if he injures himself on the insured premises.
   d) **Court costs even if they are paid over the policy limits.**

3) Section 3.2 sets out who is covered by an OAP 1 which includes:
   a) Anyone who drives the insured vehicle.
   b) **Anyone who drives the insureds vehicle with consent of the insured.**
   c) Only those with an Ontario driver’s license.
   d) Only the named insured and spouse who lives with them.

4) What will Liability pay under the OAP 1?
   a) Bodily injury or death.
   b) Non-vehicular property damage.
   c) Cost of immediate medical aid.
   d) **All of the above.**

5) "We may on occasion be required by law to make payments, even though we are not otherwise liable for them under this policy. If so, you or other insured persons will have to reimburse us upon demand for those payments." This refers to:
   a) Times when the insurer will pay over the limits of liability carried by the insured.
   b) The cost of repairing damage to the vehicle if the insured has violated the conditions of the OAP1.
   c) **Amounts the insurer had to pay by virtue of the absolute liability law which may require the insurer to pay up to the minimum liability limits to a third party who suffers a threshold injury, even if the insured violated the policy conditions by driving with a suspended license.**
   d) Payment of certain accident benefits.

6) If there is more than one named insured on the policy:
   a) The policy will treat each named insured as if they had their own separate policy so they could sue one another.
   b) The total amount the policy would pay if each named insured sued each other is the total amount of liability on the policy for the one event.
   c) (b) above also includes legal costs and post-judgment interest.
   d) **All of the above.**

7) Which of the following is not necessarily an insured under the liability coverage of an OAP 1 automobile policy?
   a) **Anyone who drives the automobile.**
   b) A guest of the insured opened the car door to exit the vehicle and knocked over an elderly person.
   c) The party whose name is on the policy (named insured).
   d) The named insured's sister to whom the insured has lent his car.

8) Your client's nephew, Bill, a licensed driver from Alberta, is involved in an at fault accident with your client's car. Bill had your client's permission to drive and has his own insured automobile in Calgary. A third party is injured in the accident. How will the claim be settled?
   a) Your client's policy would pay; however the insurer would subrogate against the Bill's policy.
   b) Bill's policy would pay only if permission is granted by the insurer for an out-of-province driver to operate the vehicle.
   c) **The client's policy would pay.**
   d) Because the driver is not licensed in Ontario, Bill's Alberta policy would pay.

9) After being involved in an accident where injuries occurred, an insured must:
   a) Contact a lawyer immediately.
   b) **Comply with all requirements found in the policy.**
   c) Try to settle amicably with the injured parties.
   d) Not do anything until he knows if there will be a claim.

10) Which one of the following is a responsibility of the insured under the terms of the OAP 1?
   a) Accept legal Liability for the accident.
   b) Participate fully with the insurer in any negotiations to settle any claim arising from an accident.
   c) Leave the collection of all information and evidence to the investigating police officers.
   d) **Notify the insurer in writing within a specified number of days of any incident involving the vehicle.**

11) The legal concept that obligates an insurer to pay Liability claims under an automobile policy even if the insured has violated policy conditions is known as:
   a) **Absolute Liability.**
   b) Additional Agreement of Insurer.
   c) Financial Responsibility.
   d) Motor Vehicle Liability.

12) A horse and buggy are hit by an automobile for which the automobile is at fault. The horse is killed. Neither the buggy nor the automobile have been damaged. Which of the motorist's automobile coverage applies to the horse?
   a) Accident Benefits.
   b) Comprehensive.
   c) Liability (Bodily Injury)
   d) **Liability (Property Damage)**

13) Which of the following is a true statement?
   a) **Legal Liability arises out of negligence.**
   b) Liability Coverage provides protection not only for the insured but also for anyone who drives or operates any part of the automobile without the insured's consent.
   c) Liability Coverage provides protection only in cases where the third party is liable.
   d) When a Liability claim arises out of a collision between two automobiles in Ontario, the parties can sue each other for their injuries no matter who was at fault.

14) Liability Coverage is designed to provide the insured with:
   a) **Financial protection against liability imposed by law on the insured.**
   b) Against legal liability for vehicular damage in an accident in Ontario.
   c) Financial protection following physical injury.
   d) Protection against claims for damages to car.

15) Liability Coverage of the OAP 1 does not cover:
   a) The cost to defend the insured against civil actions resulting from an automobile incident.
   b) Interest charged on the insured portion of judgments for damages against the insured.
   c) **Liability for injury to the insured.**
   d) The cost of investigating and negotiating a property damage claim.

16) Liability Coverage has several additional agreements to protect the insured if he is being sued. Pick the exception.
   a) Investigate, negotiate, and settle claims.
   b) Pay defense costs.
   c) **Pay the minimum limit of liability in the province the policy originated in, regardless of what the minimum liability limits are in the jurisdiction where the loss occurred.**
   d) Pay post-judgement interest on judgements within the limit of Liability the insured carries.

17) Liability excludes certain types of losses. Pick the exception that is not excluded.
   a) Damage done by a stolen vehicle.
   b) **Damage to a guardrail when the insured was charged and later convicted of impaired driving.**
   c) Injury to garage personnel.
   d) Loss resulting from contamination of property carried in an automobile.

18) When an insured is convicted of an alcohol offense, coverage will be provided by the policy in respect of the following claim only:
   a) Lost educational expenses.
   b) **Bodily injury and property damage caused to a third party.**
   c) Loss of income to insured who was injured in an accident.
   d) Physical damage to insured's automobile.

SECTION 4 (18)

1) Which one of the following is not paid under Accident Benefits in the OAP 1?
   a) Medical Benefit.
   b) **Loss of companionship.**
   c) Income Replacement Benefit.
   d) Attendant Care Benefit.

2) Automobile insurance in Ontario contains certain faultless elements. Which coverage set out below has some faultless benefits?
   a) Loss or Damage coverage to the vehicle.
   b) Uninsured Automobile coverage.
   c) Liability coverage.
   d) **Accident Benefits coverage.**

3) You are in a car that is involved in an accident, and you are hurt. From whom will you claim Accident Benefits first?
   a) **From your own automobile policy.**
   b) From the policy covering the car you are in.
   c) From a policy covering any other vehicle involved in the accident.
   d) None of the above.

4) The amounts payable under Accident Benefits are:
   a) The amount of damages awarded by the courts.
   b) Awarded based on degree of fault the insured was found to be.
   c) Damages awarded by the courts subject to an aggregate amount.
   d) **Are subject to the no-fault accident benefits schedule as laid down in the Supplementary Accident Benefits Schedule.**

5) Your client is getting married next week. He got drunk and took the chance to drive home. He was rear-ended when stopped for a light and considered zero percent at fault. He was charged and subsequently convicted of impaired driving. Your client sustained serious injuries and will be off work for many weeks. What do you advise your client?
   a) **You are not an adjuster but are aware of limits to coverage. Because he was convicted of Impaired Driving, he is not entitled to collect Income Replacement, Non-Earner Benefit or Compensation for Other Expenses.**
   b) Income Replacement will pay but not more than $300 a week due to conviction.
   c) Since the accident was not your fault all of your accident benefits will respond.
   d) Don't worry. That's why you pay for insurance. Your accident benefits coverage will respond.

6) Which of the following is not an Accident Benefit?
   a) Funeral Benefit
   b) Income Replacement Benefit.
   c) Caregiver Benefit.
   d) **Collateral Benefit.**

7) Which of the following statements is false?
   a) **There are no exclusions or limitations under Accident Benefits.**
   b) Accident Benefits are paid without regard to fault.
   c) A no-fault benefit schedule states the amounts that will be paid.
   d) Optional buy up coverage is available for certain benefits.

8) Mary is a full-time caregiver to a disabled adult child. How much will the caregiver benefit pay to bring someone in to care for him if she sustains non-catastrophic injuries in a car accident?
   a) $36,000.
   b) $50,000.
   c) **Nothing. The Caregiver Benefit coverage automatically granted by the OAP 1 only covers in the case of a catastrophic injury.**
   d) Up to $250 a week.

9) Under the OAP 1, Accident Benefits from the Described Automobile are payable to:
   a) All occupants of the Described Automobile that are not insured by an OAP 1.
   b) The named insured, his/her spouse, and dependents of either while occupants of any vehicle or as pedestrians when hit by any automobile.
   c) An uninsured pedestrian struck by the Described Automobile.
   d) **All of the above.**

10) The purpose of the loss of income benefits under the OAP 1 is:
   a) To provide payment for any medical expenses which the insured may incur.
   b) **To provide a substitute for some earnings which an insured may lose if the injury prevents him/her from working.**
   c) To provide the insured with temporary funds for the period of injury until such time as all of the lost earnings are recovered from the responsible third party.
   d) To provide punitive damages if the insured suffers from total disability or dismemberment.

11) The insured, while riding a bicycle, was struck by a car, and injured. Medical payments for the insured will be:
   a) Covered by the striking car's OAP 1.
   b) **Covered by the insured's OAP 1.**
   c) Will not be paid because the insured is not at fault.
   d) Subrogated for by the insured's insurer.

12) I am retired and I am injured in an accident. After I send my application in to receive Non-Earner Benefits, how long do I have to wait before I get my first cheque?
   a) 90 days.
   b) 30 business days.
   c) **10 business days.**
   d) 6 months.

13) With respect to automobile no-fault Accident Benefits coverage, which of the following statements is true?
   a) **Under certain circumstances an injured person can claim under the policy of the vehicle in which he was riding.**
   b) All persons may only claim Accident Benefits from the policy insuring the vehicle in which they were riding.
   c) An injured person can choose to claim under his own policy or under the policy of the vehicle in which he was riding.
   d) Pedestrians injured by any automobile always recover from the Ontario Motor Vehicle Accident Claims fund.

14) Accident Benefits coverage described in the OAP1 is designed to provide the insured with:
   a) Protection against claims for damage to automobiles following a collision.
   b) Insurance against legal liability for property damage to others.
   c) **Financial protection following a physical injury.**
   d) Financial protection against Liability imposed by law on the insured.

15) Who is an insured under Accident Benefits?
   a) Only the named insured and spouse who lives in the household.
   b) The person riding in your vehicle who is covered by their own OAP 1, covering their vehicle.
   c) The person you hit as a pedestrian who has their own OAP 1 covering their vehicle.
   d) **Named insured, spouse, dependents, anyone riding in the vehicle, hit by the vehicle or in an uninsured vehicle if they do not carry nor are covered by any other OAP1 coverage.**

16) Accident Benefits do not pay any expenses arising out of an automobile accident for:
   a) **Vehicle damage.**
   b) Loss of wages.
   c) Dental work.
   d) Funerals.

17) The limit on funeral expenses under Accident Benefits Coverage in Ontario is:
   a) **$6,000.**
   b) $4,000.
   c) $8,000.
   d) $3,000.

18) The following statements about automobile insurance are true except one. Pick the exception.
   a) Coverage territory restricted to Canada, the USA or upon a vessel plying between ports of those countries.
   b) **Any person who uses an automobile without the consent of the owner is not entitled to any benefits whatsoever.**
   c) Claims arising out of garaging activities are excluded.
   d) Definition of an occupant is restricted to any person who drives or is carried in or upon an automobile.

SECTION 5 (7)

1) Under Uninsured Automobile coverage:
   a) Death and bodily injury have a priority of payment on 95% of the total amount payable.
   b) Payment for damage to the automobile and its contents will have a priority on 5%.
   c) In no event will the policy pay more than the minimum liability limits required in Ontario.
   d) **All of the above.**

2) Uninsured Automobile coverage under the OAP 1 applies when:
   a) The insured is an occupant of an uninsured automobile.
   b) The insured is struck by an unidentified automobile.
   c) Neither (a) nor (b) is correct.
   d) **Both (a) and (b) are correct.**

3) If involved in an accident, a person may claim under Uninsured Motorist Coverage:
   a) When they have no insurance at all.
   b) For property damage but not for bodily injury.
   c) When the at-fault third party's limits are too low to cover the entire claim.
   d) **Only if the at-fault motorist who hit them was unidentified or uninsured.**

4) Under the OAP1, in the event of a physical loss, the insured may institute an action against his insurance company:
   a) 30 days after the date of the loss.
   b) 30 days after proof of loss is filed.
   c) At any time.
   d) **Within one year of the date of the loss.**

5) What coverage will respond and what amounts will your OAP 1 pay if you sustain a threshold injury, and your car is totaled in an accident committed by an at fault driver who does not carry valid insurance?
   a) Your DCPD will pay the full amount to fix your car and your Liability will pay up to the Liability you carry on your OAP 1 to cover any judgment amount you receive for your pain and suffering.
   b) Your Uninsured Automobile coverage will pay up to the minimum Liability limit in Ontario to cover a judgment you may receive for bodily injury in which case you will get nothing to have your car replaced.
   c) **There will be a priority of payment applied if there is insufficient money to fulfil a judgment and car repair. That priority shall be 95% applied to bodily injury and 5% applied to the property damage.**
   d) None of the above.

6) Who is covered under Uninsured Automobile coverage of the OAP 1?
   a) An occupant of the Described Automobile.
   b) The insured, his/her spouse, and dependent relatives of either when an occupant of an uninsured vehicle or hit when a pedestrian by an uninsured or unidentified vehicle.
   c) Someone who does not own a vehicle but who drives a company vehicle when they are the occupant of an uninsured vehicle or if hit as a pedestrian by an unidentified or uninsured automobile.
   d) **All of the above.**

7) Where an insured is claiming injuries caused by an unidentified automobile, all of the following elements except one must be present if the claim is to be successful. Pick the exception.
   a) Must be shown that the identity of either of the owners or driver cannot be ascertained.
   b) **Insured must show that he has been wholly and continuously disabled for a period of not less than 14 days.**
   c) The accident must have been reported to authorities within 24 hours.
   d) The automobile in which the claimant was an occupant must be made available to the insurer for inspection.

SECTION 6 (6)

1) If Bill is 50% at fault in an accident, how much of his damages will he be able to receive under his Direct Compensation Property Damage?
   a) 75% of his damages.
   b) 25% of his damages.
   c) **50% of his damages.**
   d) 100% of his damages.

2) Automobile insurance in Ontario contains certain no-fault elements. Which coverage set out below is based on no-fault benefits?
   a) Physical damage.
   b) Uninsured motorist.
   c) Liability.
   d) **DCPD.**

3) Under Direct Compensation Property Damage (DCPD), if an insured is dissatisfied with the determination of fault in a two-vehicle accident, she/he may sue:
   a) **His/her own insurer.**
   b) The insurer of the second vehicle involved.
   c) The driver of the second vehicle involved.
   d) Both the insurer and driver of the second vehicle involved.

4) Julie has a $300 DCPD deductible. She is deemed to be 50% at fault in an accident. How much of her DCPD deductible will she have to pay?
   a) 100% of her DCPD deductible.
   b) She doesn't have to pay a DCPD deductible because she is partially at fault.
   c) She doesn't pay a DCPD deductible, but she pays 100% of her Collision deductible.
   d) **50% of her DCPD deductible.**

5) After an automobile has been damaged in a not at fault accident, whose responsibility is it to protect the automobile from further damage?
   a) The insurance company.
   b) **The person who is not at fault for the accident.**
   c) The claims adjuster handling the claim.
   d) The person who is at fault for the accident.

6) Direct Compensation -Property Damage Coverage is used when an insured has:
   a) **Vehicle damage and not at fault.**
   b) Vehicle damage and at fault.
   c) Medical expenses and not at fault.
   d) Collision damage and at fault.

SECTION 7 (21)

1) All Perils coverage will cover:
   a) **Losses resulting from theft of the automobile by an employee.**
   b) Losses or damage to contents of trailers.
   c) Losses caused by the theft of a case of music CDs from the back seat of the automobile.
   d) Full replacement cost for a dangerously worn set of tires.

2) Rust is an example of which general category of exclusions usually found in the OAP 1?
   a) Losses wholly or partially under the control of the insured.
   b) **Wear and tear.**
   c) Illegal use.
   d) Those that can be insured elsewhere.

3) Coverage for Loss or Damage to the insured automobile by upset:
   a) Is compulsory under the Insurance Act.
   b) May be purchased under the Collision coverage option only.
   c) Is compulsory as a result of the direct compensation agreement.
   d) **Can be purchased under either Collision or All Perils subject to a deductible.**

4) The "Loss of Use Due to Theft" provision under the OAP 1 will pay:
   a) The replacement or repair cost of a substitute for the lost automobile.
   b) The actual cash value of the automobile at the time of the theft.
   c) **Reasonable expenses incurred on public transportation, in taxis, or rental vehicle costs for the period between the theft of the vehicle and the settlement of the loss by the insurer.**
   d) Any expenses arising from the rental of replacement transportation above the insured's initial payment of $900.

5) Which of the following is a Specified Peril?
   a) War.
   b) Vandalism or malicious acts.
   c) **Riot.**
   d) Collision.

6) Which of the following is not covered by Specified Perils?
   a) **Vandalism.**
   b) Hail.
   c) Riot.
   d) Windstorm.

7) The following damage is included under All Perils coverage:
   a) **Vandalism of a vehicle.**
   b) Rusting of the vehicle body.
   c) Radioactive contamination.
   d) Damage caused to the vehicle while the driver was under the influence of drugs.

8) Which of the following types of claims would be covered by the Comprehensive coverage?
   a) You return to your car in the mall parking lot to discover a dent in the body where another car has hit it.
   b) **You leave your car in a hotel parking lot in New York while there for the weekend and in the morning, you find the car up on blocks and your chrome alloy wheels have been stolen.**
   c) You are presented with an $800 bill for rehabilitation therapy required after an automobile accident.
   d) You are sued for $400,000 after negligently running over a 9 year old boy on his bicycle.

9) Which of the following would allow the vehicle to be repaired under Loss or Damage coverages?
   a) You are involved in an accident and are subsequently convicted of the dangerous operations of a motor vehicle.
   b) **You are found to be 75% at fault in an accident that happens while you are driving a newly purchased pick-up truck home from the dealer's lot. You have not notified your insurer of the purchase. It was a substitution from one vehicle to another with the original vehicle carrying All Perils besides the mandatory coverage.**
   c) You drive your vehicle and get involved in an at fault accident while your license is under suspension.
   d) You had a tire blow-out and want your tire replaced.

10) The OAP 1 will not pay which of the following charges:
   a) Salvage charges.
   b) General average charges.
   c) **Charge to repair flat tire.**
   d) Fire department charges.

11) In which one of the instances will the insurer pay to repair or replace the vehicle following a loss?
   a) When the insured is convicted of impaired driving.
   b) When the insured is driving while not authorized by law.
   c) **When the insured is driving to work over 60 km one way.**
   d) When the insured is in a race or speed test.

12) Earthquake is covered under:
   a) **All Perils, Comprehensive, and Specified Perils.**
   b) All Perils only.
   c) Comprehensive but not Specified Perils.
   d) Comprehensive only.

13) Under Loss of Use Due to Theft, which of the following statements is correct?
   a) Reimbursement begins 24 hours after theft has been reported to the police.
   b) Reimbursement begins 72 hours after theft has been reported to the insurer.
   c) **Reimbursement begins 72 hours after theft has been reported to the insurer or the police.**
   d) Maximum reimbursement time is 30 days, up to $600 limit.

14) The insured has Collision and Comprehensive on his automobile. Which of the following is not included in these coverages?
   a) Custom duties charged on repairs to the automobile while the insured was vacationing in the states.
   b) **Theft of the automobile by the insured's roommate**.
   c) Loss of Use Due to Theft.
   d) Legal Liability for damage to a temporary substitute automobile.

15) Which of the following is covered under the Specified Perils?
   a) A passing truck throws up a rock that shatters the insured automobile's windshield.
   b) **The insured automobile is being transported by rail from Toronto to Vancouver, the train is derailed, and the automobile is demolished.**
   c) The undercarriage of the insured automobile hits the ground on a rough and rutted country road and the muffler is torn off.
   d) Vandals slash the tires and scratch the paint on the insured automobile.

16) Under Additional Benefits, the insurer agrees to waive subrogation against which of the following?
   a) **A neighbor driving the automobile with the insured's consent.**
   b) A driver who breached a policy condition.
   c) Someone who had the automobile in connection with the business of selling or repairing automobiles.
   d) Someone who is in the business of storing or parking automobiles.

17) A driver leaves a tavern and is involved in an accident, for which he is subsequently charged and convicted of impaired driving. Which of the following would not be covered under his OAP 1?
   a) **Collision damage to his vehicle.**
   b) Injuries to himself.
   c) Damage to the light pole.
   d) Injuries to the other driver.

18) The insured carries a $300 deductible for All Perils on his policy. In which of the circumstances does the deductible apply:
   a) The vehicle is damaged by fire.
   b) **The hub caps are stolen.**
   c) Electrical fire damages car.
   d) The vehicle is struck by lightning.

19) Where there is physical damage to the insured automobile, all of the following statements are true except one. Pick the exception.
   a) Insured entitled to effect only such repairs as are immediately necessary for protection of the automobile.
   b) Insurer agrees to pay such expenses as are necessary to protect the automobile from further loss or damage.
   c) Settlement of all losses determined on basis of Actual Cash Value.
   d) **Where insured disputes amount of settlement offered, only resource available to him is to take legal action against the insurer.**

20) The Additional Benefits section of the automobile policy provide for payment of general average costs assessed against owners of automobiles. This agreement to make such additional payment is an extension of the following coverage:
   a) Liability.
   b) Accident Benefits.
   c) **Collision and Comprehensive.**
   d) Loss of Use.

21) According to the Statutory Conditions, the insured:
   a) Can abandon the damaged property to the insurer.
   b) Must arrange for repair of the damaged property immediately.
   c) **Must take all reasonable steps to prevent further loss or damage to the property.**
   d) All of the above.

Habitational Insurance (26)

1) An unoccupied building:
   a) Is not covered against vandalism.
   b) Is not covered against theft.
   c) Has no occupants or contents.
   d) **Is one in which the occupants have left temporarily but intend on returning.**

2) Smoke damage covers:
   a) Smoke damage to the side of the house caused from a fire in the house next door.
   b) Smoke damage to walls caused by a grease fire in the kitchen.
   c) Smoke damage to the ceiling caused by a fire from an unattended candle.
   d) **All of the above.**

3) It is often confusing to an insured when discussing co-insurance obligations and the replacement cost clause. As an insurance professional, you would advise your client to:
   a) First determine the actual cash value of the property to be insured.
   b) **First determine the replacement cost of the property to be insured.**
   c) Determine the original cost of the property.
   d) Determine the resale value of the property.

4) If you accidentally spill a cup of coffee on an antique chair, this will most likely be covered under:
   a) **A Comprehensive Homeowner Policy.**
   b) Personal Articles Coverage.
   c) Unit Improvements and Betterments.
   d) Loss Assessment.

5) An insured has driven his car into the side of his house by accident. What will pay for this damage?
   a) Liability Coverage under the OAP 1.
   b) Personal Liability under the Comprehensive Homeowner Policy.
   c) **Peril of vehicle impact under the Comprehensive Homeowner Policy.**
   d) None of the above.

6) Not all property of the insured is covered under the Comprehensive Homeowner Policy. Which of the following is not correct?
   a) Windstorm damage to a detached tool shed is covered.
   b) Smoke damage to the drapes following a kitchen fire is covered.
   c) **Theft of contents at the insured's secondary residence in northern Ontario is covered while the insured remains at their primary residence.**
   d) Two weeks of hotel expenses for the insured while repairs are made to the roof following collapse due to weight of ice and snow is covered.

7) A Condominium Unit Owner Package Policy covers which of the following:
   a) Shares with the Condominium Corporation in insuring the building.
   b) **It insures the unit, Personal Property and includes coverage for Improvements and Betterments.**
   c) Insures Unit, building, and includes a provision for Improvements and Betterments.
   d) All of the above.

8) The Comprehensive Homeowner Package Policy automatically includes:
   a) **Additional Living Expense.**
   b) Scheduled property.
   c) A Seasonal Dwelling.
   d) None of the above.

9) Which of the following statements is false?
   a) **The insurer always takes ownership of the salvaged debris, and nothing can change that.**
   b) Insurers may decide to repair or replace the damaged property.
   c) If an insurer decides to repair, work must be commenced within a stated time after proof of loss is received.
   d) Insurers must pay an insured cash if he/she desires, after a loss.

10) The insured gets to choose the basis as to how his loss will be settled on:
   a) Commercial Fire Insurance on building and contents.
   b) **The principal residence building and outbuildings on a Homeowner Policy.**
   c) Third Party Liability claims.
   d) The insured's cottage if it is insured under the same policy as the primary residence.

11) Which of the following is not true of a Condominium Corporation?
   a) It buys insurance for the condominium units on behalf of their owners.
   b) Its members are comprised of the owners of the condominium units.
   c) **It buys insurance for the condo building on behalf of the builders.**
   d) Its by-laws are binding on all members of the corporation.

12) The Comprehensive Homeowner Policy:
   a) **Is an all risk policy.**
   b) Provides all risk coverage on the building and named perils on the contents.
   c) Contains no exclusions.
   d) Is only available on new houses.

13) With respect to the Comprehensive Homeowner Policy, which of the following statements are true?
   a) All residential policies are written subject to a Guaranteed Replacement Cost provision.
   b) The Guaranteed Replacement Cost Provision allows an insured to replace a destroyed building at another location.
   c) The Guaranteed Replacement Cost provision states that payment will be subject to depreciation.
   d) **The insurer will pay Guaranteed Replacement Costs, if stated in the Declarations, even if these exceed the amount of insurance shown on the dwelling building if all conditions are met.**

14) Under the Liability section of the Homeowner Policy, you are covered for claims arising from:
   a) Your ownership of aircraft while being operated by your employees for pleasure.
   b) Your operation of a rooming house that you do not live in.
   c) **Legal Liability arising out of your personal actions anywhere in the world.**
   d) Bodily injury to persons residing in your household other than residence employees.

15) What provisions are included in the Comprehensive Homeowners for removal of property to prevent further loss or damage?
   a) Automatic coverage applies for 7 days regardless of the expiry date of the policy.
   b) **Automatic coverage is given for a limited time and subject to certain conditions.**
   c) Automatic coverage covers only one single additional location.
   d) Optional coverage is available for a nominal additional premium.

16) Special assessments can be levied against unit owners if the amount available under the Condominium Corporation Building Policy is insufficient. Under which circumstances could this coverage apply?
   a) **Underinsurance.**
   b) Breach of policy conditions.
   c) Upgrading.
   d) Both a) and b).

17) Inflation endorsements:
   a) **Automatically increase the amount of coverage during the policy period based on the basis of certain indices.**
   b) Are values in times of low inflation.
   c) Are usually added subject to an additional premium.
   d) Usually apply to buildings only.

18) Premises means: all premises where the person(s) named as Insured in the Declarations, or his or her spouse, maintains a residence, including seasonal and other residences, provided such premises are specifically described in the Declarations. It also includes:
   a) Premises where you are residing temporarily or which you are using temporarily, as long as you are not the owner of the premises or the lessee or tenant of the premises under any agreement which is longer than 90 consecutive days.
   b) Vacant land in Canada you own or rent, other than farm land.
   c) Land in Canada where an independent contractor is building a one, two or three-family residence to be occupied by you.
   d) **All of the above.**

19) We will pay for unintentional direct damage you cause to property even though you are not legally liable. What coverage does this refer to?
   a) Coverage ~~E: Personal Liability~~.
   b) Coverage ~~H: Voluntary Compensation for Residence Employees~~.
   c) Coverage ~~F: Voluntary Medical Payments~~.
   d) **Coverage G: Voluntary Payment for Property Damage.**

20) Which of the following is not covered by a Comprehensive Homeowner Policy?
   a) The rental to others, or holding for rent, of not more than 3 car spaces or stalls in garages or stables.
   b) Personal actions during the course of your trade, profession or occupation which are not related directly to your trade, profession, or occupation.
   c) Self-propelled land vehicle, amphibious vehicle, or air cushion vehicle provided the vehicle is not subject to motor vehicle registration and is designed primarily for use off public roads.
   d) **~~Business pursuits or any business use on the premises other than as provided under~~ ~~"business and business property~~."**

21) Subject to policy terms and conditions, Section II - Personal Liability:
   a) Covers you for your ~~intentional~~ acts.
   b) Covers you for ~~causing third party bodily injury only~~.
   c) Covers you for ~~causing bodily injury or property damage~~.
   d) **Covers you if you are found legally liable for bodily injury or property damage.**

22) Comprehensive Personal Liability will cover:
   a) Your ~~operations of running a furniture-making business in your basement~~.
   b) Injury to your babysitter who slips on a loose staircase carpet ~~in a friend's home~~.
   c) **A guest that tripped on a loose step in your home and injured herself.**
   d) Medical expenses when your neighbor's children ~~catch the chickenpox from your son~~.

23) When a Standard Mortgage Clause is attached to a policy:
   a) **The insurer could be called upon to pay a loss to the mortgagee even though the insured has violated a condition of the policy.**
   b) The mortgagee is ~~not~~ required to advise the insurer of any material changes in risk that they are aware of.
   c) The insurer may cancel the policy and is ~~only~~ required to send a registered letter to the insured.
   d) ~~Neither the insurer nor the insured may cancel the policy as long as the insured owes on the mortgage~~.

24) You have inherited a very old and expensive painting. It should be covered under:
   a) ~~Scheduled Personal Articles Coverage~~.
   b) ~~Additional Conditions under your Homeowner Policy~~.
   c) **Fine Arts Coverage.**
   d) ~~Personal Property coverage of the policy~~.

25) Water damage resulting from sewer back-up:
   a) Is ~~covered under most policies subject to limitations~~.
   b) **May be covered by Sewer Back-up Coverage for additional premium.**
   c) Is an ~~included coverage under most policies~~.
   d) Is ~~not~~ insurable.

Commercial Insurance (29)

1) Which is true in regards to a Boiler and Machinery Policy?
   a) **It covers boiler and pressure vessels.**
   b) The major peril of boiler and pressure vessels is breakdown.
   c) A big danger with electric motors is explosion.
   d) It would not usually be required for a garage risk.

2) The Basic Fire Policy:
   a) **Covers fire, lightning, and specified types of explosion.**
   b) Is required by law to cover fire, windstorm, and lightning.
   c) Covers fire, explosion, and windstorm.
   d) Always covers lightning and specified types of explosion.

3) Business Interruption Insurance:
   a) Protects against loss of earnings to the insured's business if a supplier is unable to supply parts due to a labor dispute.
   b) **Protects the business from loss of earnings from the interruption of their business due to an insured peril.**
   c) Covers the financial loss resulting from the destruction of the business and its contents.
   d) All of the above.

4) Under the Commercial General Liability (CGL) Policy, which of the following statements is true?
   a) Personal Injury is the same as Bodily Injury.
   b) There is no limitation on what can be paid out.
   c) Each occurrence is the maximum that will be paid for all occurrences.
   d) **There is a care, custody, and control exclusion under Property Damage Liability.**

5) Extra Expense Insurance:
   a) Covers income lost as a result of plant shut-down.
   b) **Is useful only when a firm can carry on after a loss, although at an additional cost.**
   c) Is a viable alternative to a Gross Earnings Form.
   d) Is usually subject to a Co-Insurance Clause.

6) Which of the following losses is not covered under a 3D Policy?
   a) Wrongful abstraction of money.
   b) Forgery of cheques by an employee.
   c) Acceptance in good faith of a counterfeit money order.
   d) **Theft of money from the business by a partner.**

7) The purpose of a Fidelity Bond is to:
   a) Make sure bids for a construction job are made in good faith.
   b) Protect the financial interests of one relying on another's management.
   c) Guarantee the proper performance of construction work.
   d) **Guarantee the honesty of employees.**

8) Fidelity Bonds are designed to protect clients from:
   a) Robbery outside the premises.
   b) Forgery of cheques at an overseas distribution office.
   c) **Infidelity from within the organization.**
   d) Acceptance in good faith of counterfeit money.

9) The Co-Insurance Clause is designed to:
   a) Prevent the chance of a total loss.
   b) Transfer part of the risk to another insurer.
   c) **Force the insured to bear a portion of any partial loss if underinsurance exists.**
   d) Penalize the insured in the event of being over insured.

10) What is the best way to insure commercial stock for a business like a card store that has stock values that are higher for certain months?
   a) There is no special way to do this.
   b) Premium Adjustment Clause.
   c) **Peak Season endorsement.**
   d) Extra Expense coverage.

11) Which of the following is not covered under a Stock policy?
    a) Goods held for sale.
    b) Advertising.
    c) **Potted plants.**
    d) Inventory.

12) Which of the following are parties to a surety agreement?
    a) Principal.
    b) Obligee.
    c) Surety.
    d) **All of the above.**

13) The Commercial General Liability policy does not provide coverage for which of the following:
    a) Personal injury.
    b) **Punitive damages.**
    c) Bodily injury.
    d) Property damage.

14) A client of yours is a contractor and is in the process of knocking down a wall for his client's home. As a result of this, there is damage to his client's vehicle. Which liability form would protect the contractor if he were found negligent?
    a) Automobile Liability.
    b) Personal Liability.
    c) **Contractor's Liability.**
    d) Tenant's Legal Liability.

15) Very large risks are often insured by means of a:
    a) Manuscript Policy.
    b) Prescriptions Policy.
    c) Extension Policy.
    d) **Subscription Policy.**

16) An armored truck guard is picking up daily deposits from the bank. A masked man throws him to the ground and takes the money. This is an example of:
   a) Theft.
   b) Burglary.
   c) **Robbery.**
   d) Consideration.

17) Which of the following would be the party taking out the bond?
   a) ~~Obligee~~.
   b) **Principal.**
   c) ~~Surety~~.
   d) ~~None of the above~~.

18) Business Interruption insurance may be described as coverage that will protect the insured for:
   a) **The indirect loss of income which results when there is a shutdown of the business due to an occurrence of a peril insured against and normal operations cannot be carried on.**
   b) Fire damage to ~~finished goods which the insured has manufactured and is in storage~~ ~~waiting for shipment~~.
   c) Loss of business brought about by ~~poor management and improper use of the insured's~~ ~~funds~~.
   d) Interruptions in his/her business operations due to ~~labor disputes~~.

19) A subscription policy differs from other policies in that:
   a) It is specifically ~~designed for a particular risk and does not use preprinted wordings~~.
   b) **More than one insurer participates in a policy prepared by the lead company.**
   c) More than one company covers a portion of the risk under its ~~own wording~~.
   d) ~~Court decisions have established the meanings of words regardless of the intent~~.

20) Brant Construction has almost completed a building on Main Street. A tornado ripped through town demolishing the new building and destroying material on the site. What coverage would cover such a loss?
   a) ~~Installation floater~~.
   b) **Builder's Risk.**
   c) ~~Commercial Building form~~.
   d) ~~Commercial Building, Equipment, and Stock~~.

21) A building worth $250,000 is insured for $150,000 on a policy which has an 80% Co-Insurance Clause and fire damage amounting to $50,000. How much will the insurer pay?
   a) **$37,500.**
   b) ~~$30,000~~.
   c) ~~$40,000~~.
   d) ~~$50,000~~.

22) Building is valued at $265,000 and is insured for $200,000. The loss is $60,000. 90% co-insurance applies. What will the insurer pay?

   $50,280.

23) Building is valued at $265,000 and is insured for $200,000. The loss is $245,000. 90 % coinsurance applies. What will the insurer pay?

   $200,000.

24) Building is valued at $250,000 and is insured for $200,000. The loss is $70,000. 90 % co-insurance applies. What will the insurer pay?

   $62,160.

25) Building is valued at $440,000 and is insured for $380,000. The loss is $250,000. 90 % co-insurance applies. What will the insurer pay?

   $239,750.

26) Building is valued at $250,000 and is insured for $210,000. The loss is $40,000. 80% co-insurance applies. What will the insurer pay?

   $40,000.

27) Building is valued at $250,000 and is insured for $240,000. The loss is $80,000. 80% co-insurance applies. What will the insurer pay?

   $80,000.

28) Building is valued at $500,000 and is insured for $480,000. The loss is $4,500. 100% co-insurance and the 2% waiver of co-insurance applies. What will the insurer pay if there is a $500 deductible?

$4,000.

29) Building is valued at $300,000 and is insured for $290,000. The loss is $75,000. 80% co-insurance applies. What will the insurer pay if there is a $1,000 deductible on the policy?

$74,000

Case Studies Answers

Case Study 1

Bill and Mary have been living together for two years. They have a Tenant's package in both their names. Bill has full coverage on his truck and Mary has full coverage on her SUV. The policy was set up in both names. Mary is a graphic design consultant working out of their apartment. Bill is a sales rep for a large manufacturing company.

1) They celebrate Mary's birthday with a weekend away at a golf resort. They watch in horror as someone falls out of a golf cart, only to be run over by it. This makes Bill wonder if he would be covered under his insurance if he were to accidentally hit a golfer with his cart. Would he? (1 Mark) **Yes.**

2) Over a romantic dinner, Bill proposes to Mary and presents her with a lovely $12,000 engagement ring. What would you recommend? (1 Mark) **Personal Articles Coverage.**

3) One of Mary's clients slips on a rug in Mary's home office. He is injured and will likely sue. Is Mary covered? (1 Mark) **No.**

4) At work, Bill has to park his car beside the office on the side of the road. Does his OAP 1 cover him if someone hits his vehicle and leaves a note identifying themselves and giving their insurance information? Where or to whom would he go to get his vehicle repaired? (2 Marks) **Yes. His own policy.**

5) Mary's sister's house was damaged recently by a kitchen fire when Mary's nephew was cooking French fries. The family had to move out until the repairs were made. Her sister's house insurance policy paid for them to live in a hotel. Mary wonders if they have the same coverage under their Tenant's package. (1 Mark) **Yes.**

6) Bill has a hobby carving wooden duck decoys and he sells them at flea markets. If they are destroyed in an apartment fire or stolen, are they covered under his Tenant's package? (1 Mark) **No.**

7) Is Mary's sister covered if she borrows Bill's truck to move her son's contents to a new home?(1 Mark) **Yes.**

8) Is Mary's nephew covered under his parent's homeowner's policy when he is away at school? (1 Mark) **Yes.**

9) Bill and Mary are talking about doing a small renovation to their apartment and decide to install a dishwasher. Would this be covered under their Tenant's Package? (1 Mark) **Yes.**

Case Study 2

Bill and Mary have decided to buy a condominium.

1) A Condominium Unit Owners Policy can be described as a "Tenant's package with frills." What is the difference in coverage between their Tenant's package and the Condominium Unit Owners policy they need once they buy their Condominium? (1 Mark)

   Coverages A1, A2, & A3.

2) The condo has old rugs. They want to pull the rugs out and install ceramic and hardwood floors. Is there coverage on the renovations they do to their condo unit? (1 Mark)
   Yes.

3) Mary got a new job with an advertising company. Her friend works at the same place, and they decide to car pool to work together. Is this covered by Mary's auto policy? Does she need extra coverage? (2 Marks)
   Yes covered. No extra coverage.

4) Mary buys a new car but for tax reasons has the ownership put in Bill's name. Now both vehicles are in Bill's name. Can they leave the auto policy in the name of Bill and Mary? (1 Mark)
   No.

5) Bill's sister came to visit from California. While helping to hang curtains, she fell and was hospitalized. The bill comes to $3,000. She did not have travel insurance. Is there any coverage under Bill and Mary's Condominium Unit Owner Policy that will respond to this loss? (1 Mark)
   Yes.

6) A few days before the wedding, Mary and her bridesmaids went to pick up their dresses. On the way home, they are involved in an accident and the dresses are destroyed. The other driver was 100% at fault. Can they get their dresses replaced? Under whose policy? (2 Marks)

Yes. Under the owner of the dress' policy.

7) Bill and Mary go on a honeymoon to Barbados. Bill's laptop is stolen from their room. Would it be covered under their Condominium Unit Owners policy? A candle is knocked over and there is extensive fire damage to their room. Would the damage they cause to the hotel be covered? (2 Marks)
Yes, to both.

Case Study 3

1) An elderly family member is selling his cottage on an island. Bill and Mary decide to purchase it. How do they insure it? (1 Mark)
Add it as a Seasonal Location and extend the Liability.

2) An older boat and motor are included in the sale of the cottage. The motor is a 12 HP Evinrude outboard motor valued at $3,000 and the boat is a 12 foot aluminum fishing boat valued at $800. Bill wants to know if the boat is insured. What about if he hits a water skier, is he covered for that? (2 Marks)
Yes, up to $1,000 for the boat. Yes, if he hits a water skier.

3) The outboard boat and motor is running pretty rough, so Bill finds a great deal on a 20 HP outboard motor. Is he covered if he gets rid of the 12 HP and used the 20 HP motor to get back and forth from the landing from their cottage? If not, what does he have to do to ensure it is covered? (2 Marks)
No. Extend the Liability to the larger motor.

4) Mary is going to replace some of the old furniture at the cottage with some new furniture. She wonders if there is coverage if someone breaks in and steals the new furniture. What about vandalism? (2 Marks)
Yes, to both, if purchased.

5) Bill's truck is vandalized while it is parked at the landing one weekend at the cottage. He carries All Perils $1,000 deductible. Is the damage covered? Does Bill have to pay his $1,000 deductible? (2 Marks)
Yes, to both.

6) The cottage is insured for $75,000 on a Seasonal Fire and Extended Coverage policy. There is a garage and a boat house on the premises, each valued at $5,000. If wild fires destroy the cottage and outbuildings, how much will the policy pay? (1 Mark)

$75,000.

Case Study 4

1) Bill and Mary decide to buy a snowmobile so they can go to the cottage in the winter. How should they insure it? (1 Mark)
On an OAP 1.

2) Will Mary's brother, who does not have a driver's license, be able to drive the snowmobile? (1 Mark)
Yes.

3) Mary's sister is injured in a car accident and unable to go to work for several weeks. Who will she be able to collects Income Replacement benefits from? Her own policy or the policy of the vehicle that hit her? (1 Mark)
Her own policy.

4) Mary's niece, Jill, is 18 and will be getting her G2 license next month. Does she need her own policy to drive her father's car? If he buys her a car, can he insure it on his policy? (2 Marks)
No. Only if he is the registered owner.

5) Mary is in an accident, for which she is deemed to be 50% at fault. Mary has $8,000 damage on her vehicle and has a $500 car rental bill. She carries All Perils $1,000 deductible. How will her vehicle be repaired? (2 Marks)
DCPD $4,250. All Perils (Collision) $3,500.

6) Bill and Mary are thinking of buying a house. What type of policy will they need? How does it differ from their Condominium Unit Owners Policy? (2 Marks)
Comprehensive Homeowner Policy. Coverages A and B.

7) The area they are moving to has a history of sewer backup claims. Would their new policy on their home cover them for sewer backup coverage? (1 Mark)
Only if the endorsement has been purchased.

Case Study 5

1) While packing to move to their new home, Bill finds an unopened box of his grandfather's baseball card collection that Bill inherited. He has them appraised in a shop that specializes in sports cards. It is determined the collection is worth $2,800. Will it be covered under his policy? Would you recommend anything? (2 Marks)
Yes, up to $1,000. Personal Articles Coverage.

2) Bill was involved in a car accident recently and is being sued by one of the injured passengers. Is he covered under his automobile policy? Should he go out and get his own lawyer? (2 Marks)
Yes, covered. No, lawyer.

3) On a trip to Toronto, Mary is hit by someone who does not carry insurance. She sustains $23,000 damage to her vehicle. Does she have recourse under her own auto policy? If so, under what coverage, and is there a limit on what they will pay for auto repair? (3 Marks)
Yes. Uninsured Automobile Coverage. $25,000 with a $300 deductible.

4) Bill is burning the grass to get rid of the dry stuff and the fire gets out of control and burns down his neighbor's shed, damages his neighbors' pool cover and sets fire to a large portion of his neighbor's eight foot high cedar hedge. Is he covered if the neighbors' insurance company comes back to him to be reimbursed for the amount they paid out in repairs? (1 Mark)
Yes.

5) Mary bought a little sailboat for use at the cottage. It is 16 feet long and is valued at $4,000. She does not bother to insure it. Is she covered if she races her sailboat in a local regatta Sunday morning? (1 Mark)
No.

6) Mary and Bill plan to do $10,000 in kitchen and bathroom renovations to the home they recently purchased. Do they have to tell their insurance company about the renovations if they want their renovations insured? (1 Mark)
Yes.

Case Study 6

Harold Jones and Julie Smith are engaged to be married and visit your office to discuss their insurance needs. They each own a car insured on an OAP 1 and will be renting an apartment next to a golf course.

1) What policy would you recommend to insure their possessions? (1 Mark)
Comprehensive Tenant Policy.

2) They are planning on making some changes to their apartment. Will their policy cover the improvements? (1 Mark)
Yes.

3) Julie's engagement ring cost $2,500. How should it be insured? (1 Mark)
Personal Articles Coverage.

4) They're planning a honeymoon. Will their personal belongings be covered during the trip? (1 Mark)
Yes.

5) If they accidentally cause a fire that damages the apartment, are they covered? (1 Mark)
Yes.

6) Is Harold's mother covered if she slips and injures herself on a visit? (1 Mark)
Yes.

7) Is he covered if he hits a golfer with his golf cart while golfing? (1 Mark)
Yes.

8) Does parking outdoors affect the OAP 1? (1 Mark)
No

9) Do they have to insure their snowmobile? How? (1 Mark)
Yes, on an OAP 1.

10) She joined a carpool for work. Will it affect her insurance? (1 Mark)
No.

Case Study 7

Two friends buy a condo together. They both have their own vehicle.

1) Name the differences between the condo and tenants' package? (1 Mark)
   A1, A2, & A3.

2) If they add hardwood flooring to their unit, is it covered? Why? (2 Marks)
   Yes.

3) If Friend A borrows Friend B's car, is she covered? (1 Mark)
   Yes.

4) If Friend A is a teacher and tutors kids at her condo and they get injured, is she covered? (1 Mark)
   No.

5) If the maid gets injured accidentally, do the girls have liability? (1 Mark)
   Yes

6) If Friend A carpools with Friend B to work, does that affect her premium? (1 Mark)
   No.

Case Study 8

Your clients, Mr. and Mrs. Applesmith, own a house which is valued at $120,000 and is properly insured on a Comprehensive Homeowner Policy. They have two automobiles, one with full coverage and one with Liability and Comprehensive.

1) Under the Homeowner Policy, are the clients covered for a part time business that their daughter is running from the basement of the home? (1 Mark)
   Yes.

2) What about the business equipment? (1 Mark)
   Yes, up to $2,000.

3) Should they decide to purchase a new vehicle but are not able to contact you, what would you advise them? (1 Mark)
   Newly Acquired Automobile will provide coverage that is common to all of their vehicles up to 14 days.

4) While on vacation, Mrs. Applesmith loses her diamond ring. Is she covered? (1 Mark)
   Yes, up to $2,000.

5) On their next vacation they have decided to rent a chalet in Whistler. They have concerns about whether this is covered. What do you advise them? (1 Mark)
   The rental of the chalet is covered for their contents and liability. They must arrange for a competent person to enter their dwelling daily to ensure the heating was being maintained or they must shut off the water supply and drain all the pipes and domestic water containers.

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